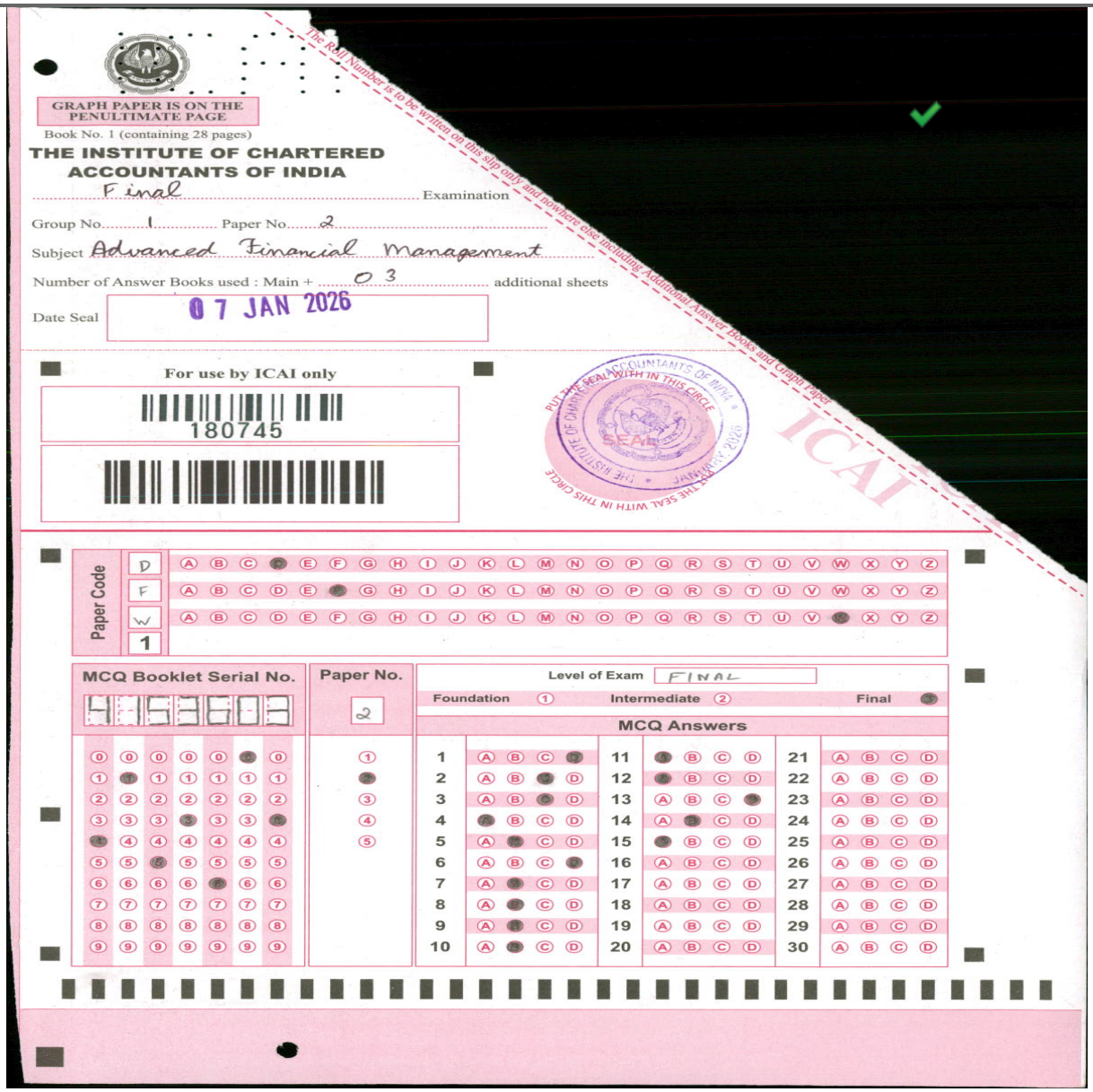
The Institute of Chartered Accountants of India

Code:	**FN2AF180745**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 03 additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

180745

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

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ICAI

Paper Code: D F W 1

MCQ Booklet Serial No. 4458603

Paper No. 2

Level of Exam FINAL

Foundation (1) Intermediate (2) Final (3)

MCQ Answers

1	B	11	A	21	A
2	C	12	A	22	A
3	C	13	D	23	D
4	A	14	B	24	A
5	B	15	A	25	A
6	D	16	A	26	A
7	B	17	A	27	A
8	B	18	A	28	A
9	B	19	A	29	A
10	B	20	A	30	A

Page 01

The Institute of Chartered Accountants of India

Code: FN2AF180745 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 41

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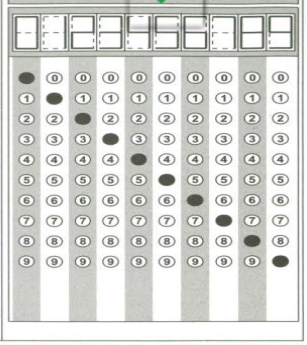
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Illustration for Filling the MCQ Booklet Serial No.



...RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

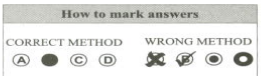
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...nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

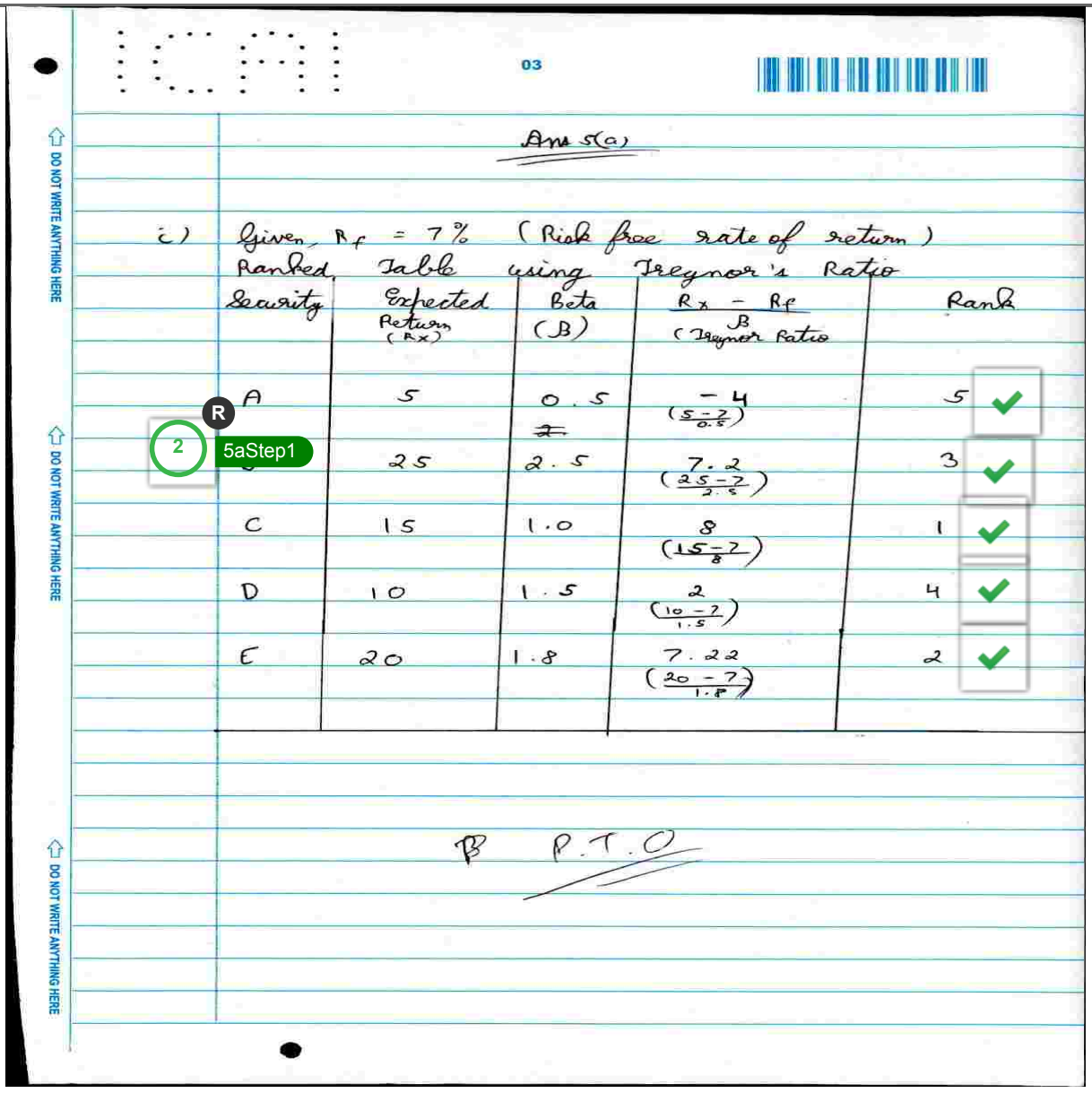
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3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☑	9	☐
3	☑	10	☐
4	☐	11	☐
5	☑	12	☐
6	☑	13	☐
7	☐	14	☐
Total		Total	



03

Ans 5(a)

i) Given, R_f = 7% (Risk free rate of return)

Ranked Table using Treynor's Ratio

Security	Expected Return (R_x)	Beta (β)	$\frac{R_x - R_f}{\beta}$ (Treynor Ratio	Rank
A	5	0.5	$\frac{-4}{(\frac{5-7}{0.5})}$	5
B	25	2.5	$\frac{7.2}{(\frac{25-7}{2.5})}$	3
C	15	1.0	$\frac{8}{(\frac{15-7}{8})}$	1
D	10	1.5	$\frac{2}{(\frac{10-7}{1.5})}$	4
E	20	1.8	$\frac{7.22}{(\frac{20-7}{1.8})}$	2

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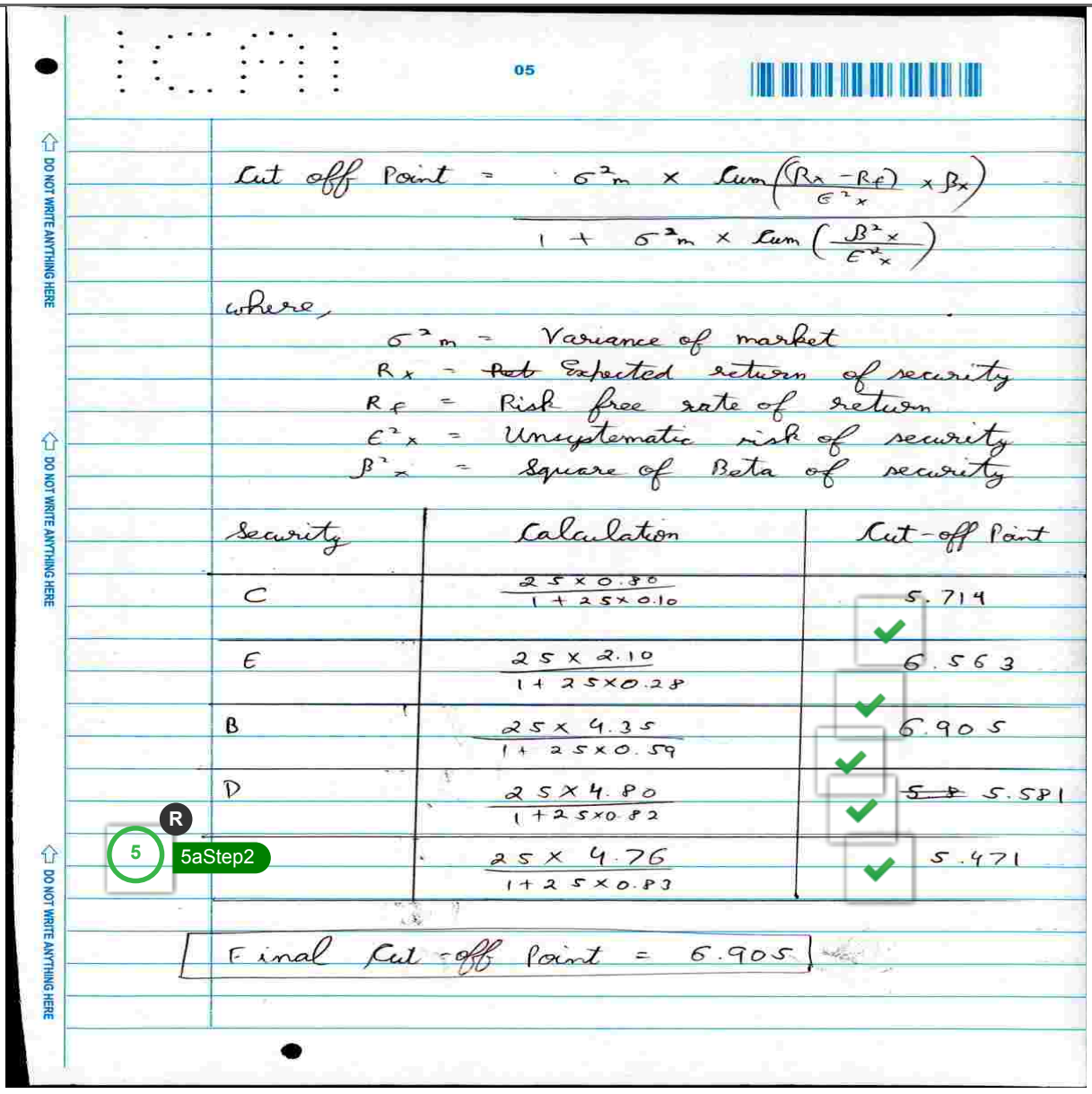
04

ii) Calculation of Cut off Point

Security	Unsystematic Risk (E^2_x)	$\frac{R_x - R_f}{E^2_x} \times \beta_x$	Cumulative
C	~~25~~ 10	$\frac{0.8}{(\frac{15-7}{10}) \times 1.0}$	0.80
E	18	$\frac{1.30}{(\frac{20-7}{18}) \times 1.8}$	2.10
B	20	$\frac{2.25}{(\frac{25-7}{20}) \times 2.5}$	4.35
D	10	$\frac{0.45}{(\frac{10-7}{10}) \times 1.5}$	4.80
A	25	$\frac{(0.04)}{(\frac{5-7}{25}) \times 0.5}$	4.76

Security	β^2_x	Unsystematic Risk (E^2_x)	$\frac{\beta^2_x}{E^2_x}$	Cumulative
C	1	10	0.10	0.10
E	3.24	18	0.18	0.28
B	6.25	20	0.31	0.59
D	2.25	10	0.23	0.82
A	0.25	25	0.01	0.83

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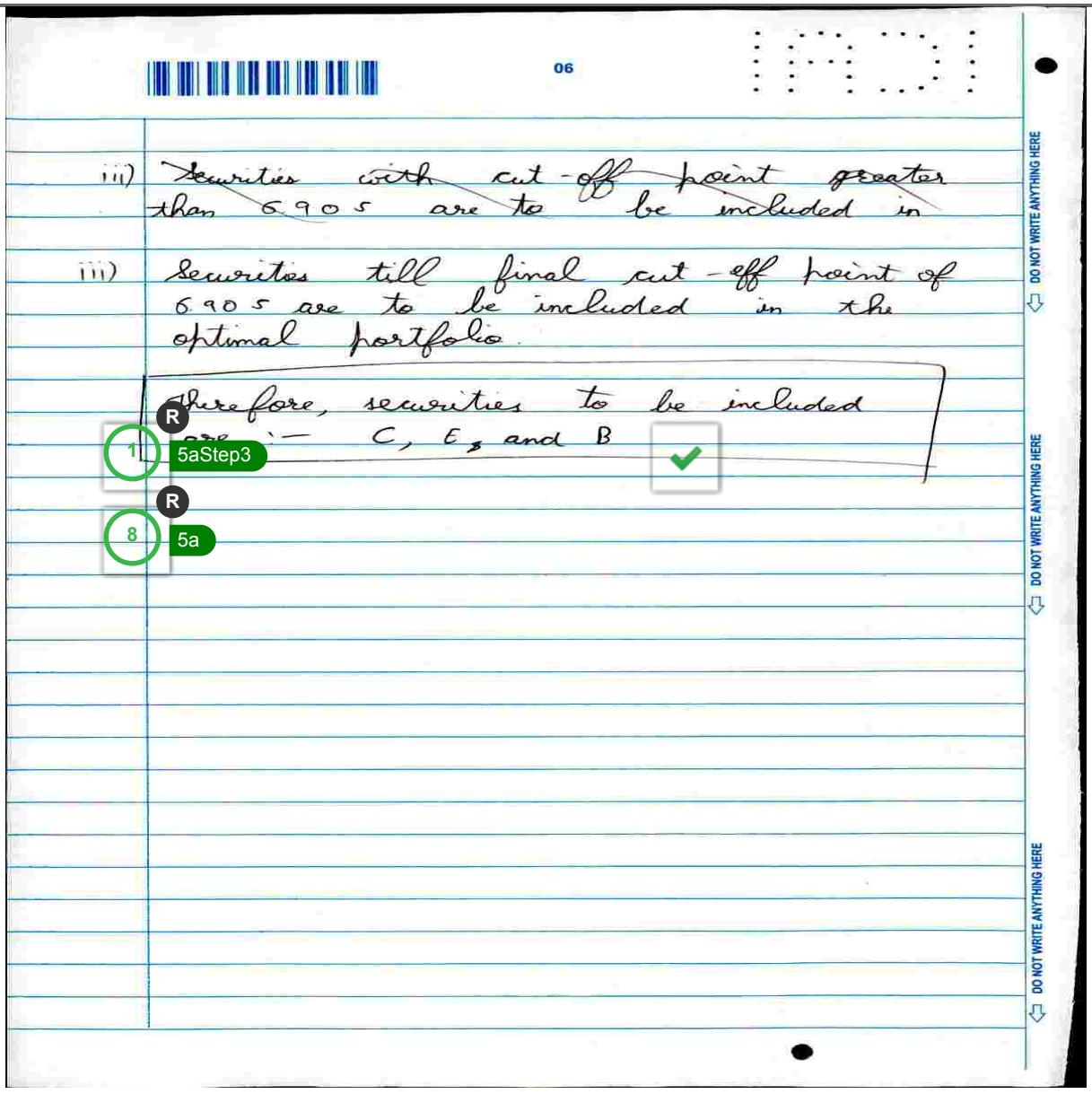
$$\text{Cut off Point} = \frac{\sigma^2_m \times \text{Sum}\left(\frac{(R_x - R_f)}{\sigma^2_x} \times \beta_x\right)}{1 + \sigma^2_m \times \text{Sum}\left(\frac{\beta^2_x}{\sigma^2_x}\right)}$$

where,

σ^2_m = Variance of market
R_x = ~~Not~~ Expected return of security
R_f = Risk free rate of return
σ^2_x = Unsystematic risk of security
β^2_x = Square of Beta of security

Security	Calculation	Cut-off Point
C	$\frac{25 \times 0.80}{1 + 25 \times 0.10}$	5.714
E	$\frac{25 \times 2.10}{1 + 25 \times 0.28}$	6.563
B	$\frac{25 \times 4.35}{1 + 25 \times 0.59}$	6.905
D	$\frac{25 \times 4.80}{1 + 25 \times 0.82}$	~~5.8~~ 5.581
5 5aStep2	$\frac{25 \times 4.76}{1 + 25 \times 0.83}$	5.471

Final Cut-off Point = 6.905



06

iii) Securities with cut-off point greater than 6.905 are to be included in

iii) Securities till final cut-off point of 6.905 are to be included in the optimal portfolio.

Therefore, securities to be included are :— C, E, and B

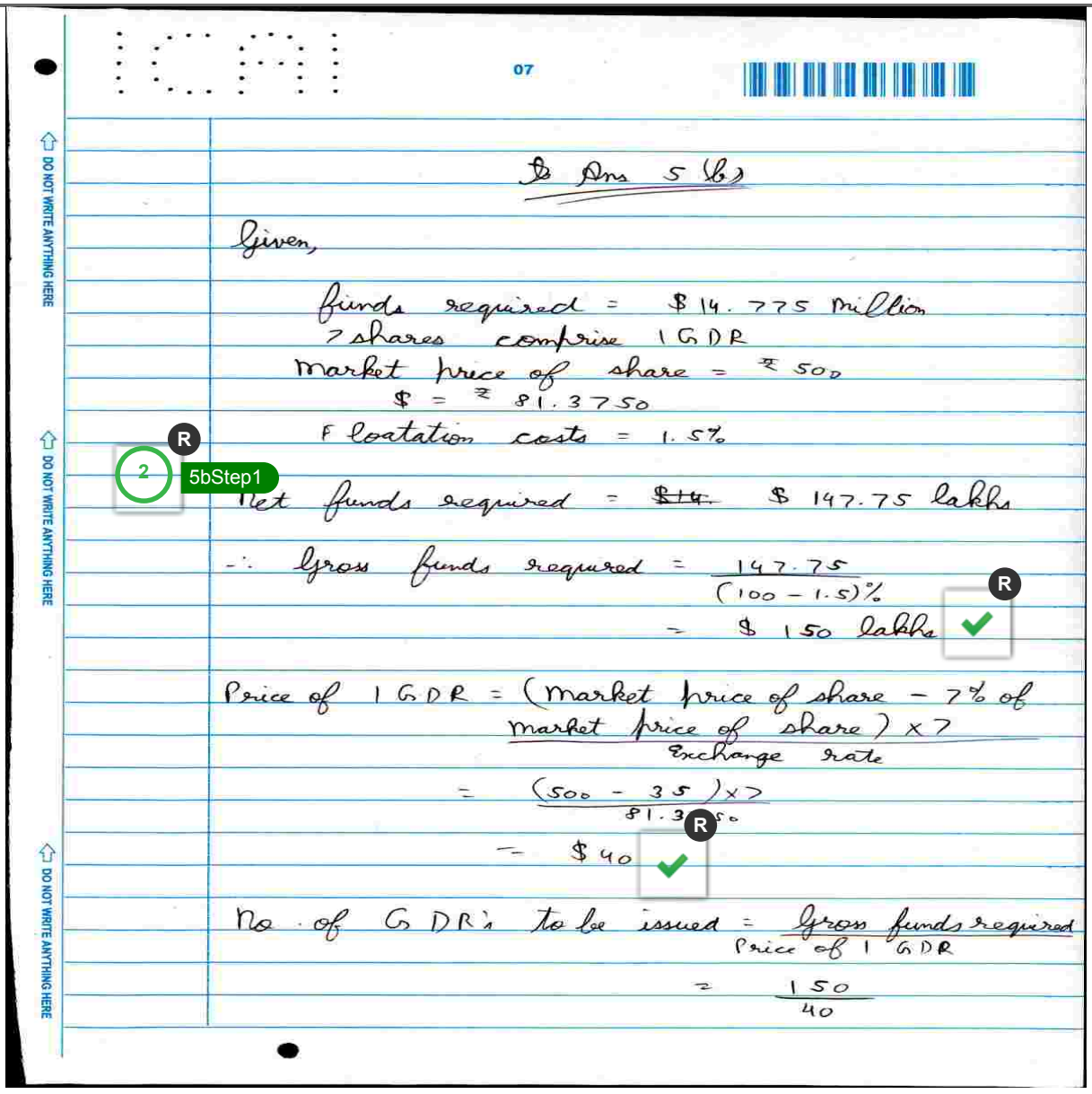
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07

Ans 5 (b)

Given,

funds required = $ 14.775 million
7 shares comprise 1 GDR
Market price of share = ₹ 500
$ = ₹ 81.3750
Floatation costs = 1.5%

R
2 5bStep1

Net funds required = ~~$14.~~ $ 147.75 lakhs

∴ Gross funds required = $\frac{147.75}{(100-1.5)\%}$

= $ 150 lakhs ✔ R

Price of 1 GDR = $\frac{(\text{Market price of share} - 7\% \text{ of Market price of share}) \times 7}{\text{Exchange rate}}$

= $\frac{(500 - 35) \times 7}{81.3750}$ R

= $ 40 ✔

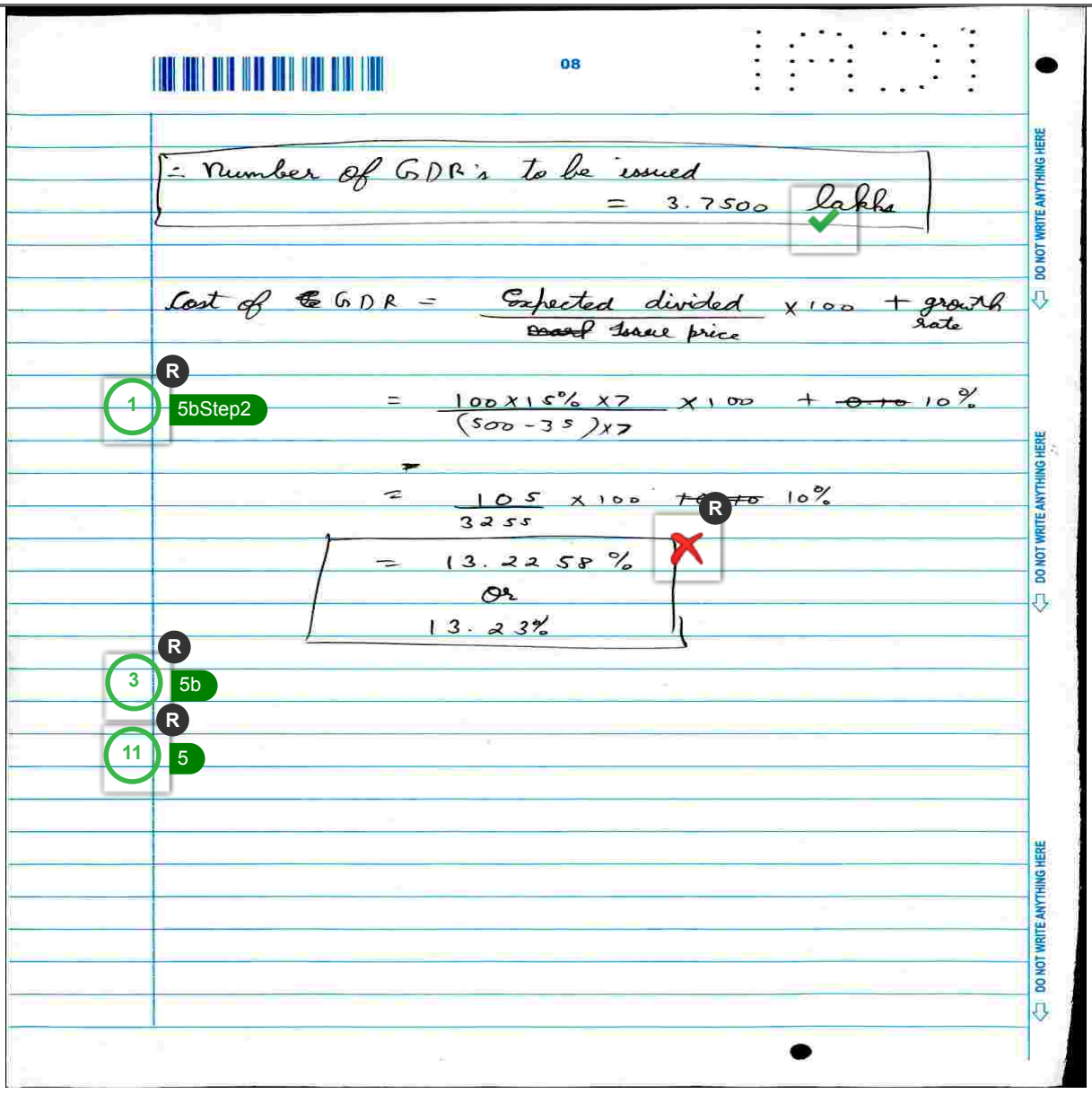
No. of GDR's to be issued = $\frac{\text{Gross funds required}}{\text{Price of 1 GDR}}$

= $\frac{150}{40}$

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09

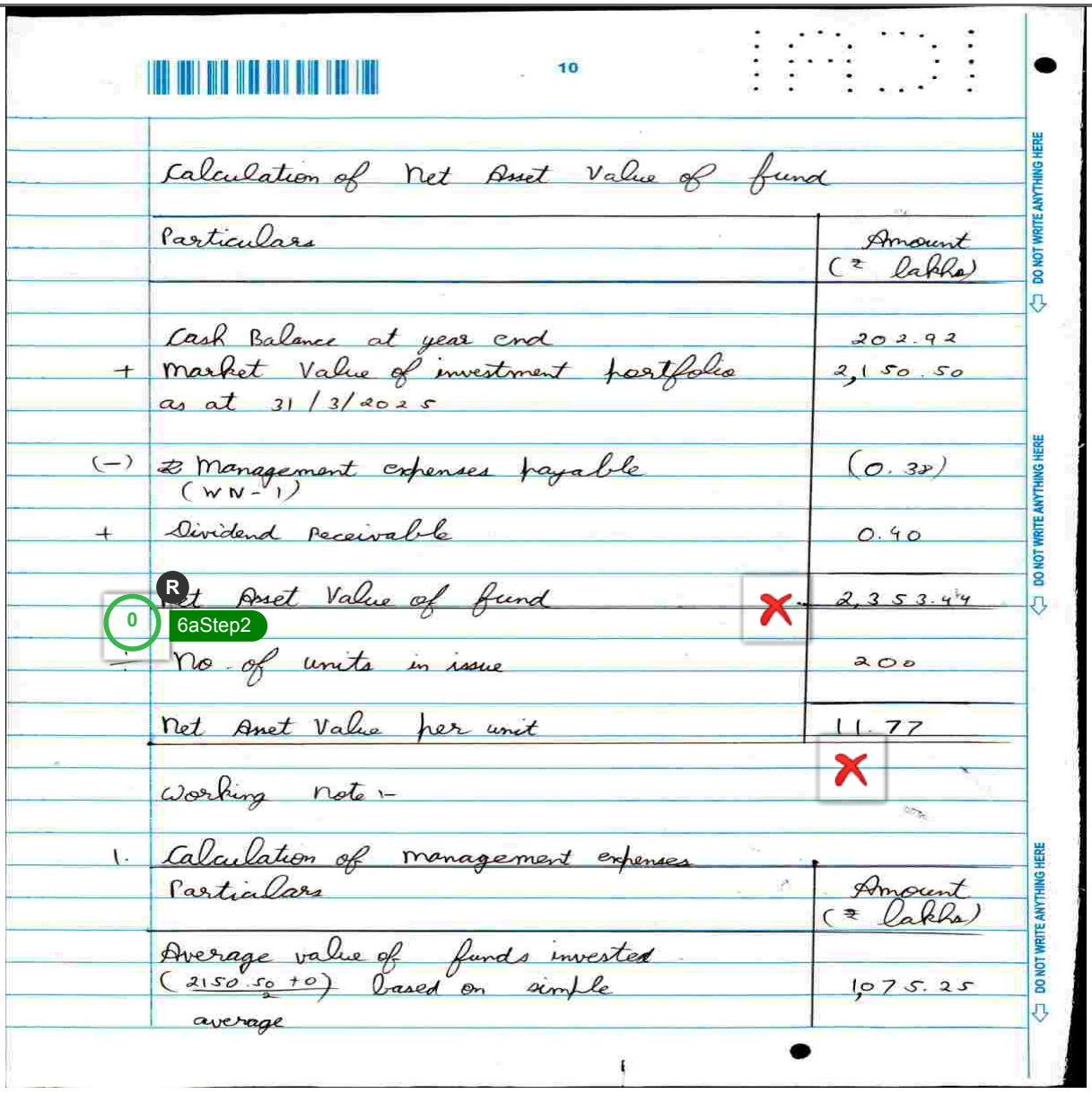
Ans 6 (a)

Calculation of Cash Balance at year end

	Particulars	Amount (₹ lakhs)
	Initial subscription received (180 × 10)	1,800
+	Underwriting subscription (200 × 10)	200
(–)	Underwriting commission ($\frac{2}{100}$ × 200)	(4)
(–)	Initial Investments	(1,780)
(–)	Marketing Expenses	(25)
+	Proceeds from sale of security	280
(–)	Purchase of new securities	(265)
(–)	Management expenses	(5)
+	Dividends collected	4.60
(–)	Distribution of realized earnings (250 + 4.60) × 80%	(27.68)
	Cash Balance at year end	202.92

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10

Calculation of Net Asset Value of fund

	Particulars	Amount (₹ lakhs)
	Cash Balance at year end	202.92
+	Market Value of investment portfolio as at 31/3/2025	2,150.50
(–)	Management expenses payable (WN-1)	(0.32)
+	Dividend receivable	0.40
	Net Asset Value of fund	2,353.44
	No. of units in issue	200
	Net Asset Value per unit	11.77

Working Note :-

1. Calculation of management expenses

Particulars	Amount (₹ lakhs)
Average value of funds invested ($\frac{2150.50+0}{2}$) based on simple average	1,075.25

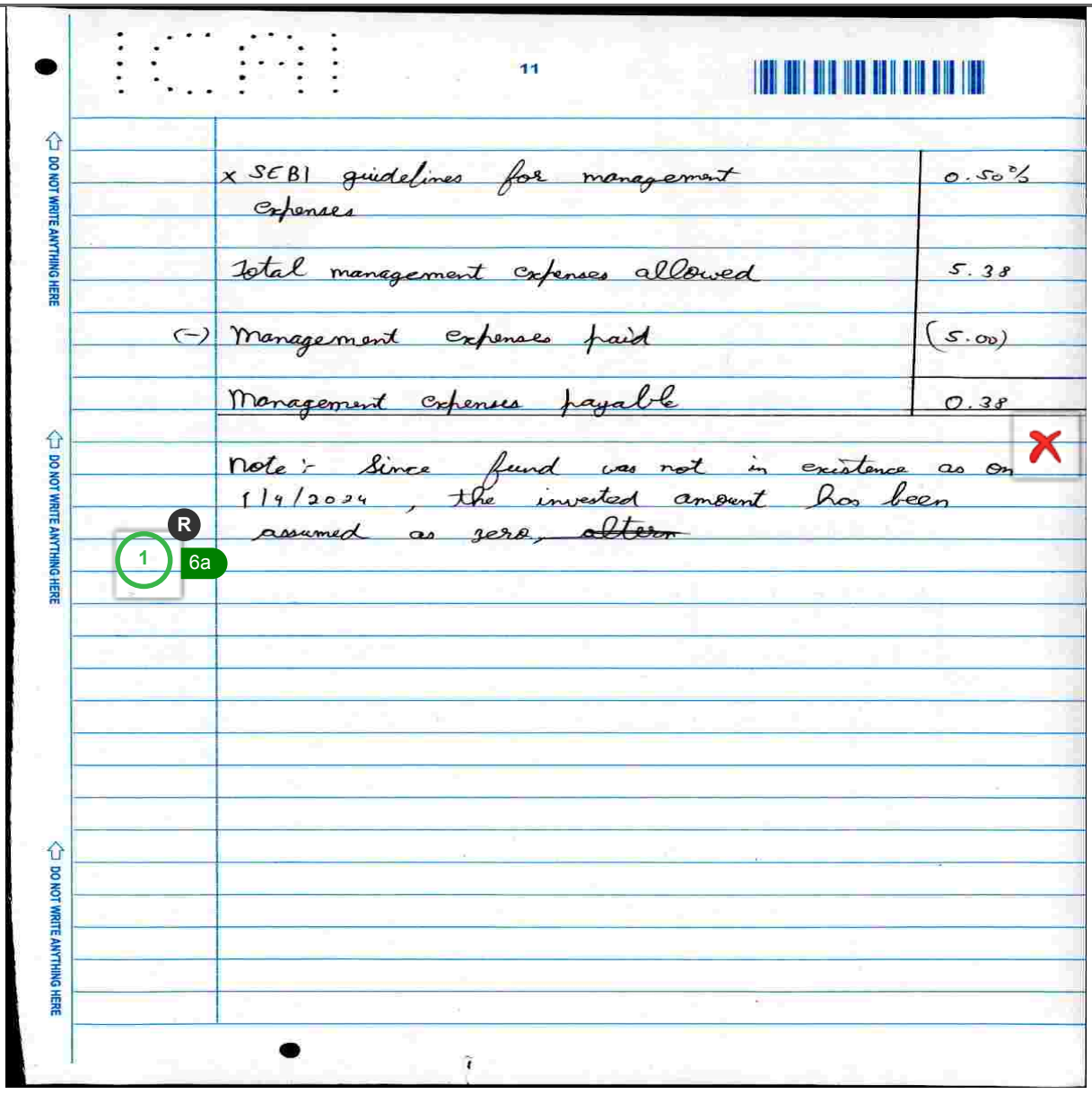
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11

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x	SEBI guidelines for management expenses	0.50%
	Total management expenses allowed	5.38
(-)	Management expenses paid	(5.00)
	Management expenses payable	0.38

Note :- Since fund was not in existence as on 1/4/2024, the invested amount has been assumed as zero, ~~after~~

R 1 6a

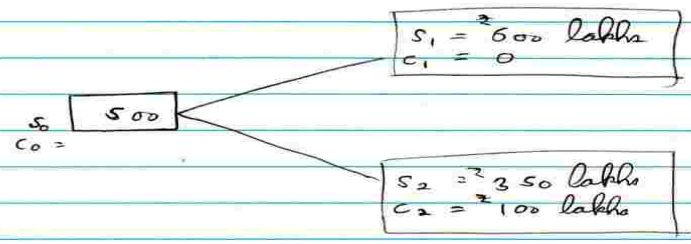
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12

(b)

Binomial Tree



Let present value of project be $S_0 = ₹500$ lakhs

∴ Increased present value $S_1 = ₹600$ lakhs

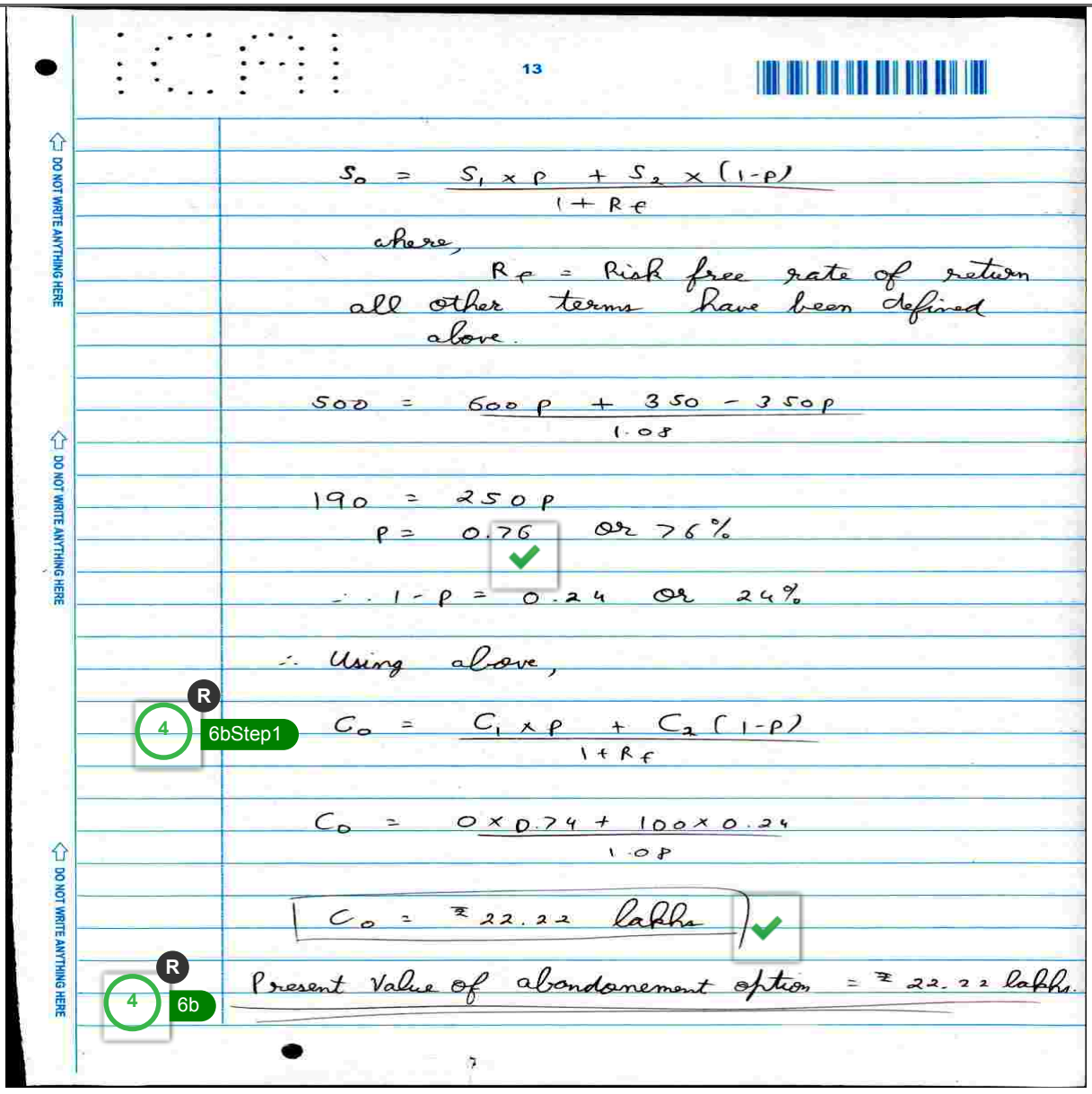
Decreased present value $S_2 = ₹350$ lakhs

Value of abandonement option at $S_1 = ₹0$ (C_1)
Value of abandonement option at $S_2 = ₹100$ lakhs (C_2)

Assuming, the increase and decrease in present value happens after an year.

Let the probability of reaching S_1 be 'p'
∴ probability of reaching S_2 = '1 − p'

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$$S_0 = \frac{S_1 \times p + S_2 \times (1-p)}{1 + R_f}$$

where,

R_f = Risk free rate of return

all other terms have been defined above.

$$500 = \frac{600p + 350 - 350p}{1.08}$$

$$190 = 250p$$

$$p = 0.76 \text{ or } 76\%$$

$\therefore 1 - p = 0.24$ or 24%

∴ Using above,

$$C_0 = \frac{C_1 \times p + C_2 (1-p)}{1 + R_f}$$

$$C_0 = \frac{0 \times 0.74 + 100 \times 0.24}{1.08}$$

C_0 = ₹ 22.22 lakhs

Present Value of abandonement option = ₹ 22.22 lakhs.

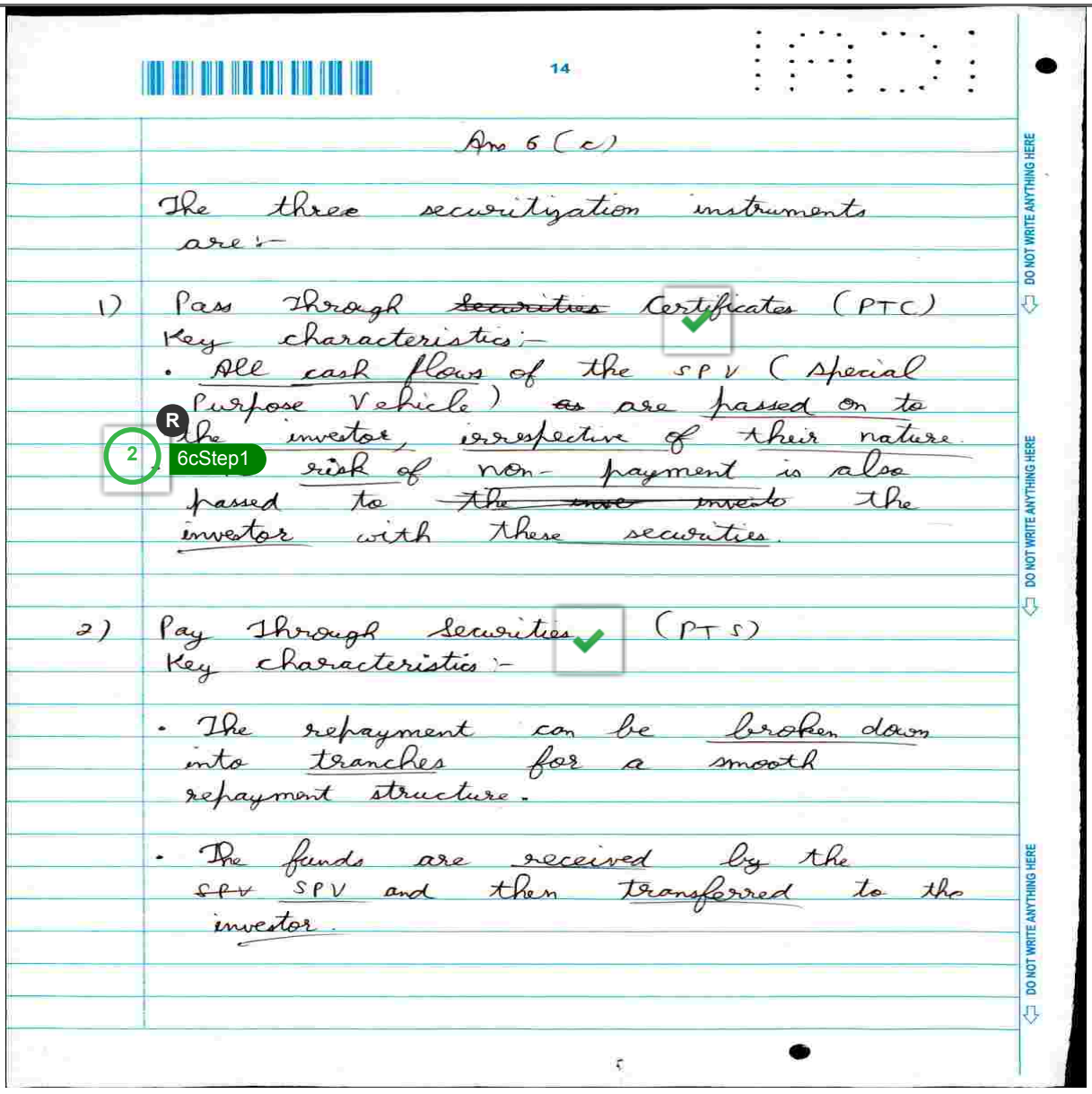
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14

Ans 6 (c)

The three securitization instruments are :-

1) Pass Through ~~Securities~~ Certificates (PTC)
Key characteristics :-

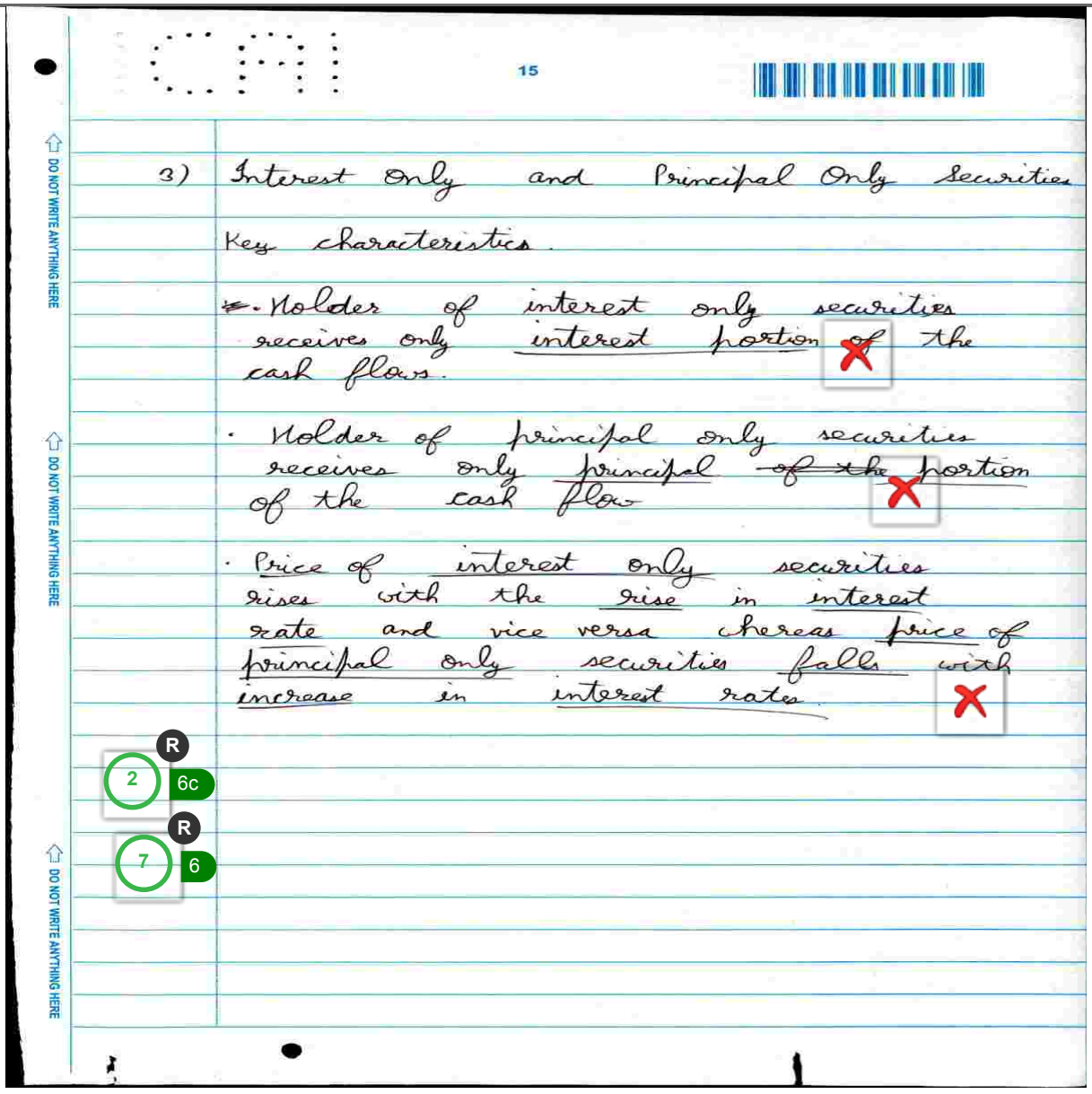
- All cash flows of the SPV (Special Purpose Vehicle) ~~as~~ are passed on to the investor, irrespective of their nature. risk of non-payment is also passed to ~~the~~ ~~investo~~ the investor with these securities.

2) Pay Through Securities (PTS)
Key characteristics :-

- The repayment can be broken down into tranches for a smooth repayment structure.
- The funds are received by the ~~SPV~~ SPV and then transferred to the investor.

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15

3) Interest Only and Principal Only Securities

Key characteristics.

- Holder of interest only securities receives only interest portion of the cash flows.
- Holder of principal only securities receives only principal ~~of the~~ portion of the cash flow
- Price of interest only securities rises with the rise in interest rate and vice versa whereas price of principal only securities falls with increase in interest rates.

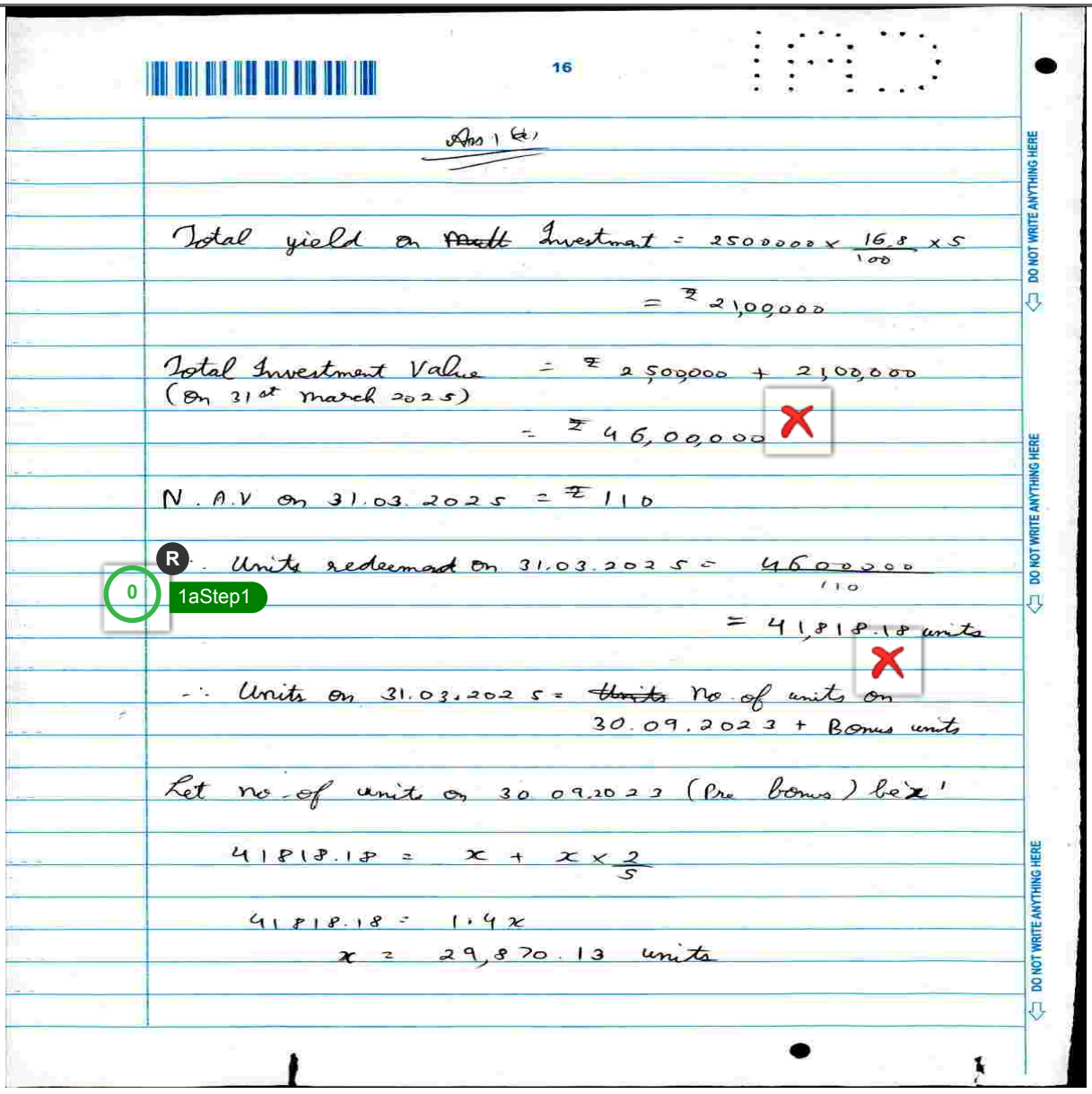
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16

Ans 1 (a)

Total yield on ~~Profit~~ Investment = $2500000 \times \frac{16.8}{100} \times 5$

= ₹ 21,00,000

Total Investment Value (On 31st March 2025) = ₹ 2,500,000 + 21,00,000

= ₹ 46,00,000

N.A.V on 31.03.2025 = ₹ 110

R. Units redeemed on 31.03.2025 = $\frac{4600000}{110}$

0 1aStep1

= 41,818.18 units

∴ Units on 31.03.2025 = ~~Units~~ No. of units on 30.09.2023 + Bonus units

Let no. of units on 30.09.2023 (Pre bonus) be 'x'

$41818.18 = x + x \times \frac{2}{5}$

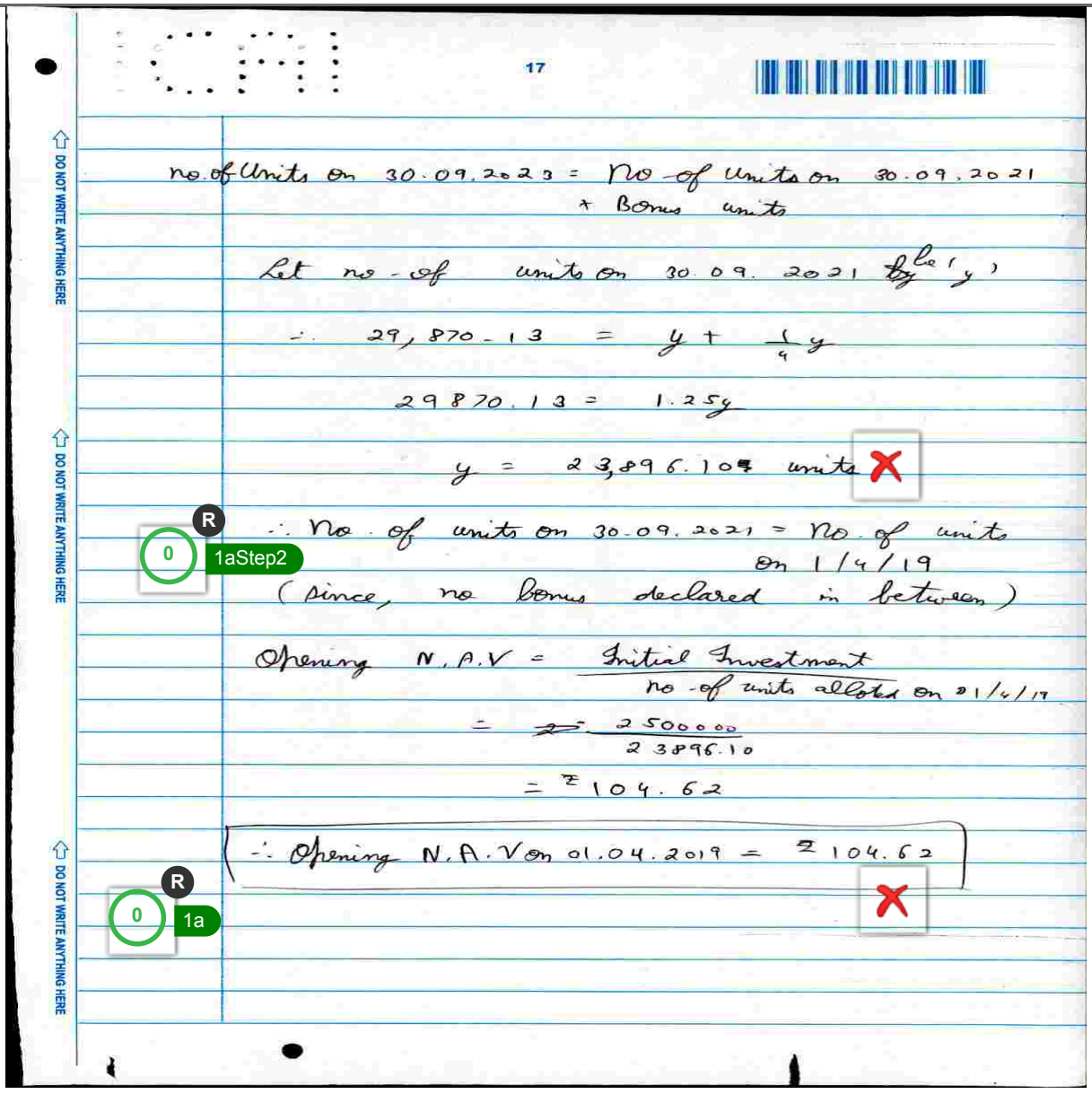
$41818.18 = 1.4x$

$x = 29,870.13$ units

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17

no. of Units on 30.09.2023 = No of Units on 30.09.2021 + Bonus units

Let no of units on 30.09.2021 be 'y'

$\therefore 29,870.13 = y + \frac{1}{4}y$

$29870.13 = 1.25y$

$y = 23,896.104$ units ✗

R 0 1aStep2

∴ No. of units on 30.09.2021 = No. of units on 1/4/19
(since, no bonus declared in between)

Opening N.A.V = $\frac{\text{Initial Investment}}{\text{no of units alloted on } 1/4/19}$

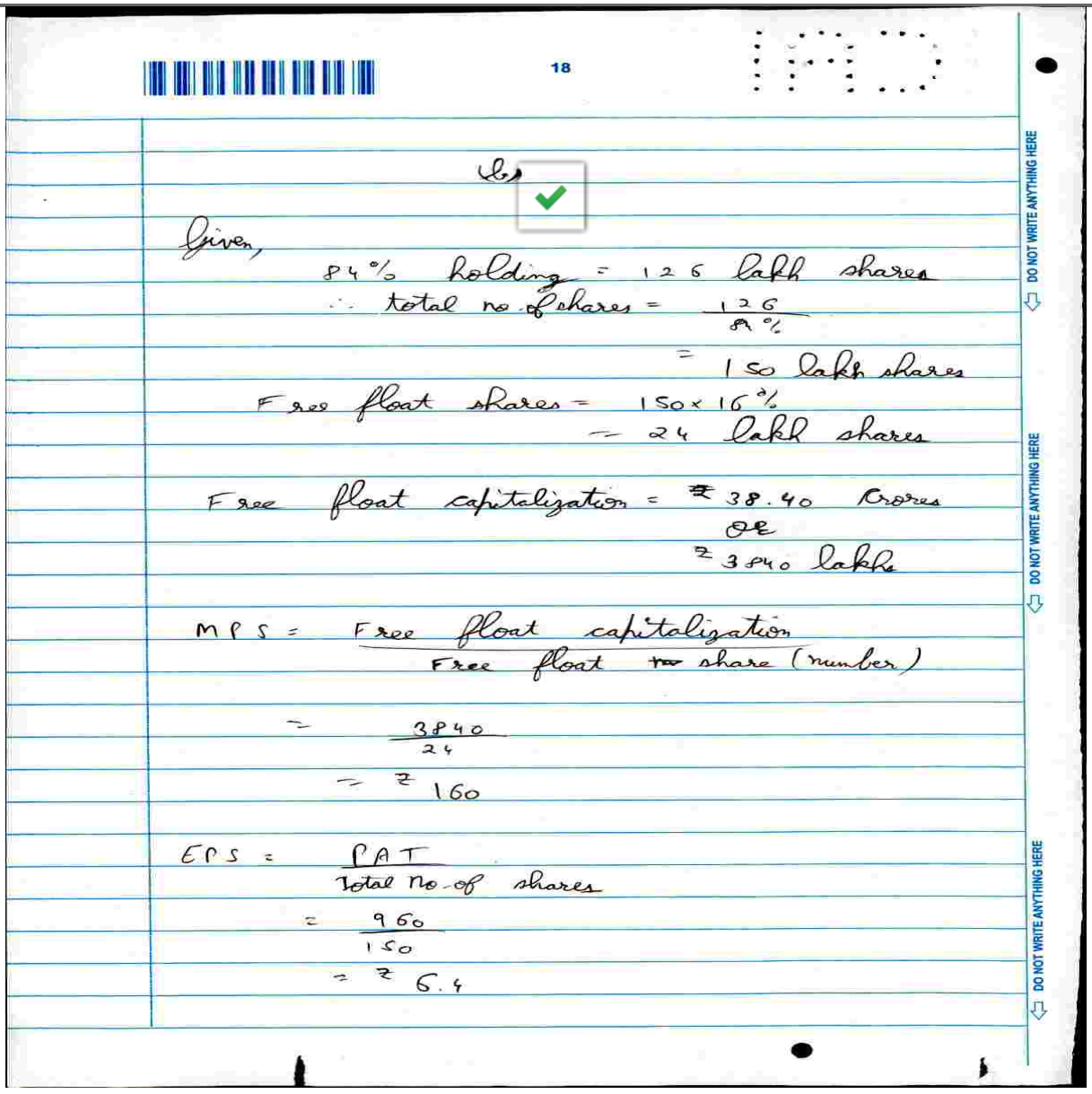
$= \frac{2500000}{23896.10}$

$= ₹ 104.62$

∴ Opening N.A.V on 01.04.2019 = ₹ 104.62 ✗

R 0 1a

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18

(b)

Given,

84% holding = 126 lakh shares

∴ total no. of shares = $\frac{126}{84\%}$

= 150 lakh shares

Free float shares = 150 × 16%

= 24 lakh shares

Free float capitalization = ₹ 38.40 Crores

or

₹ 3840 lakhs

MPS = $\frac{\text{Free float capitalization}}{\text{Free float no. share (number)}}$

= $\frac{3840}{24}$

= ₹ 160

EPS = $\frac{\text{PAT}}{\text{Total No. of shares}}$

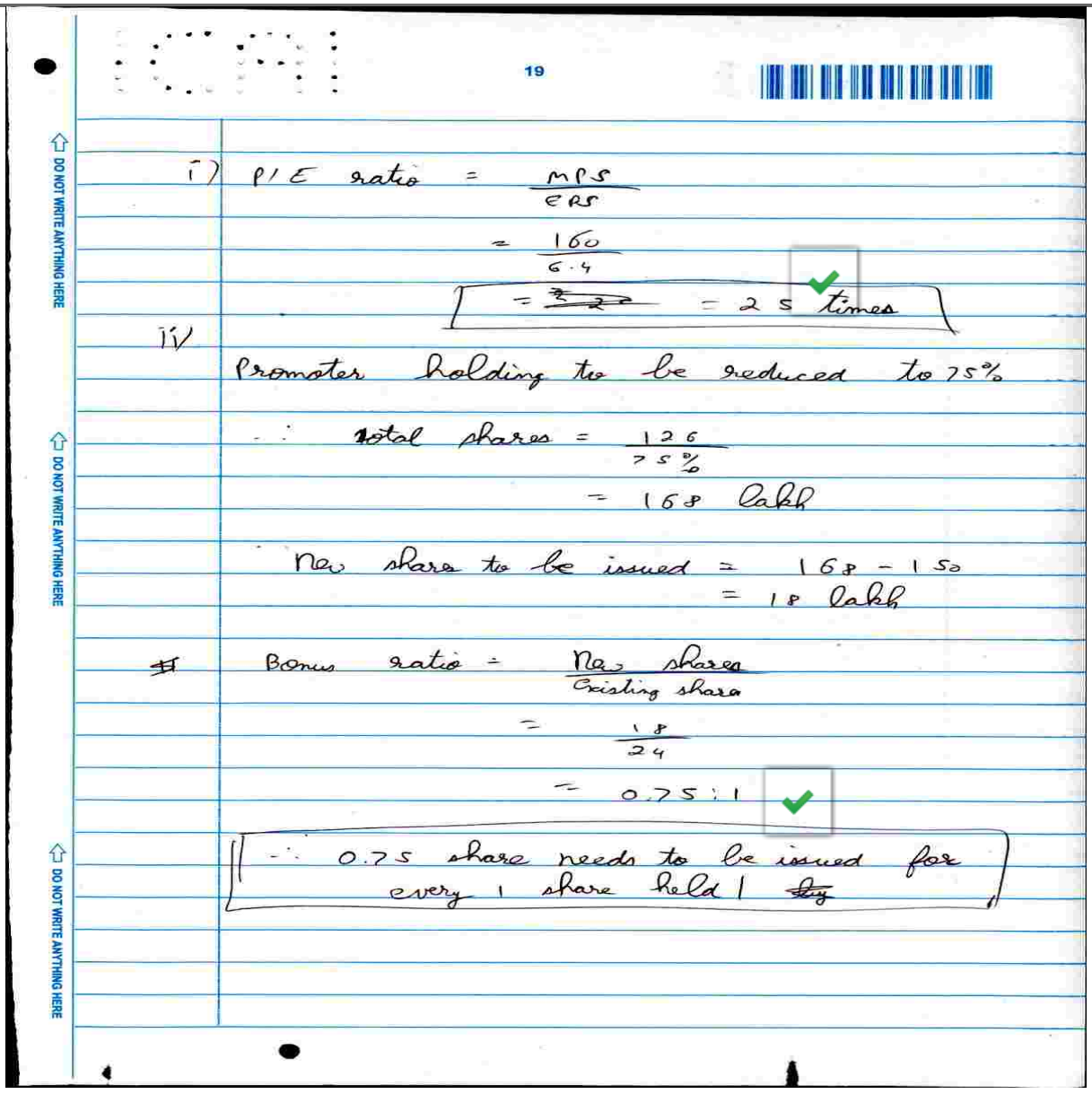
= $\frac{960}{150}$

= ₹ 6.4

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19

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i) P/E ratio = MPS / EPS

= 160 / 6.4

= ~~₹ 20~~ = 25 times

iv

Promoter holding to be reduced to 75%

∴ Total shares = 126 / 75%

= 168 lakh

New shares to be issued = 168 − 150

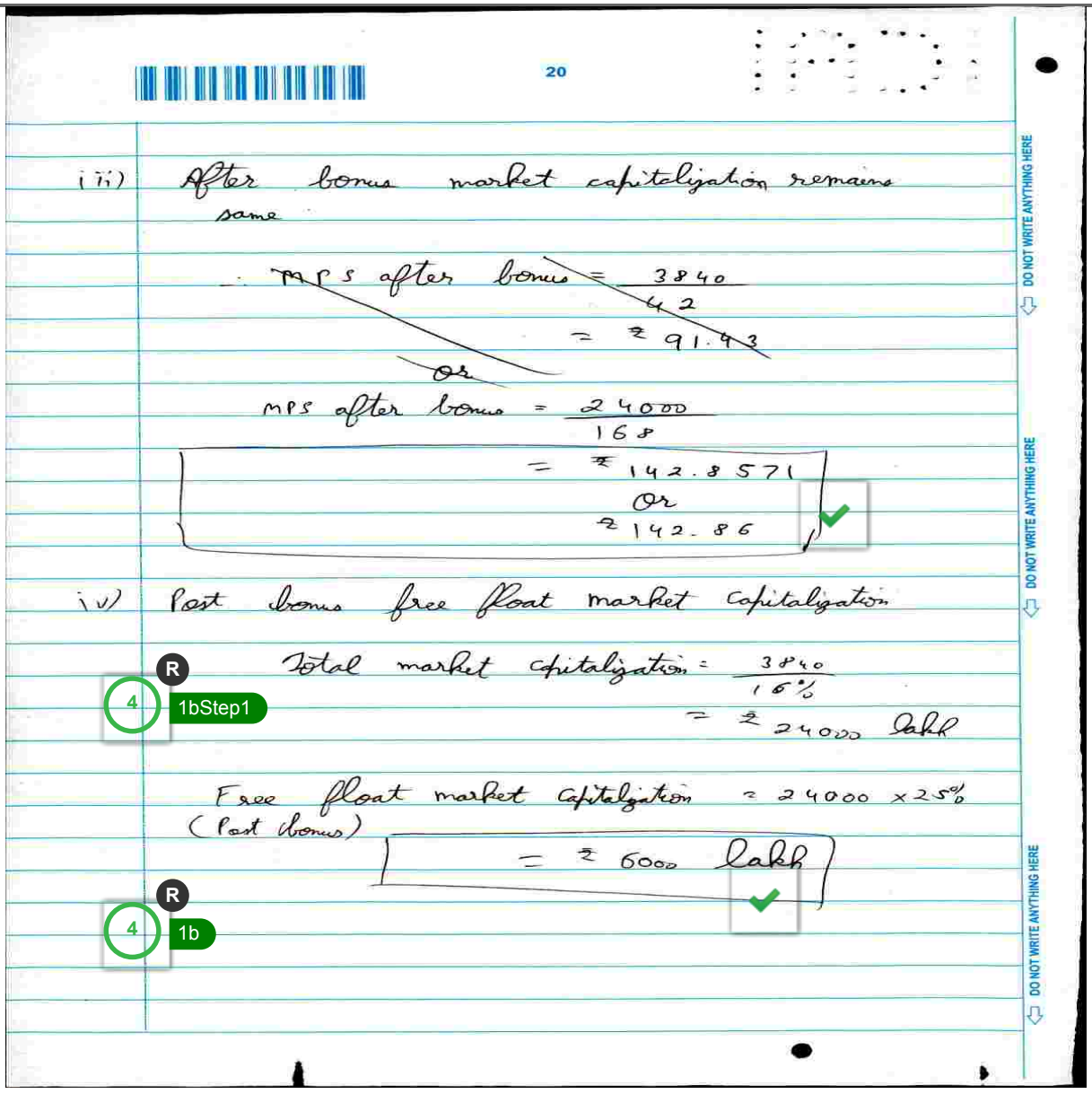
= 18 lakh

ii Bonus ratio = New shares / Existing shares

= 18 / 24

= 0.75 : 1

∴ 0.75 share needs to be issued for every 1 share held ~~by~~



20

(iii) After bonus market capitalization remains same

∴ MPS after bonus = 3840/42 = ₹ 91.43

Or

MPS after bonus = 24000/168 = ₹ 142.8571

Or

₹ 142.86

(iv) Post bonus free float market capitalization

Total market capitalization = 3840/16% = ₹ 24000 lakh

Free float market capitalization (Post bonus) = 24000 × 25% = ₹ 6000 lakh

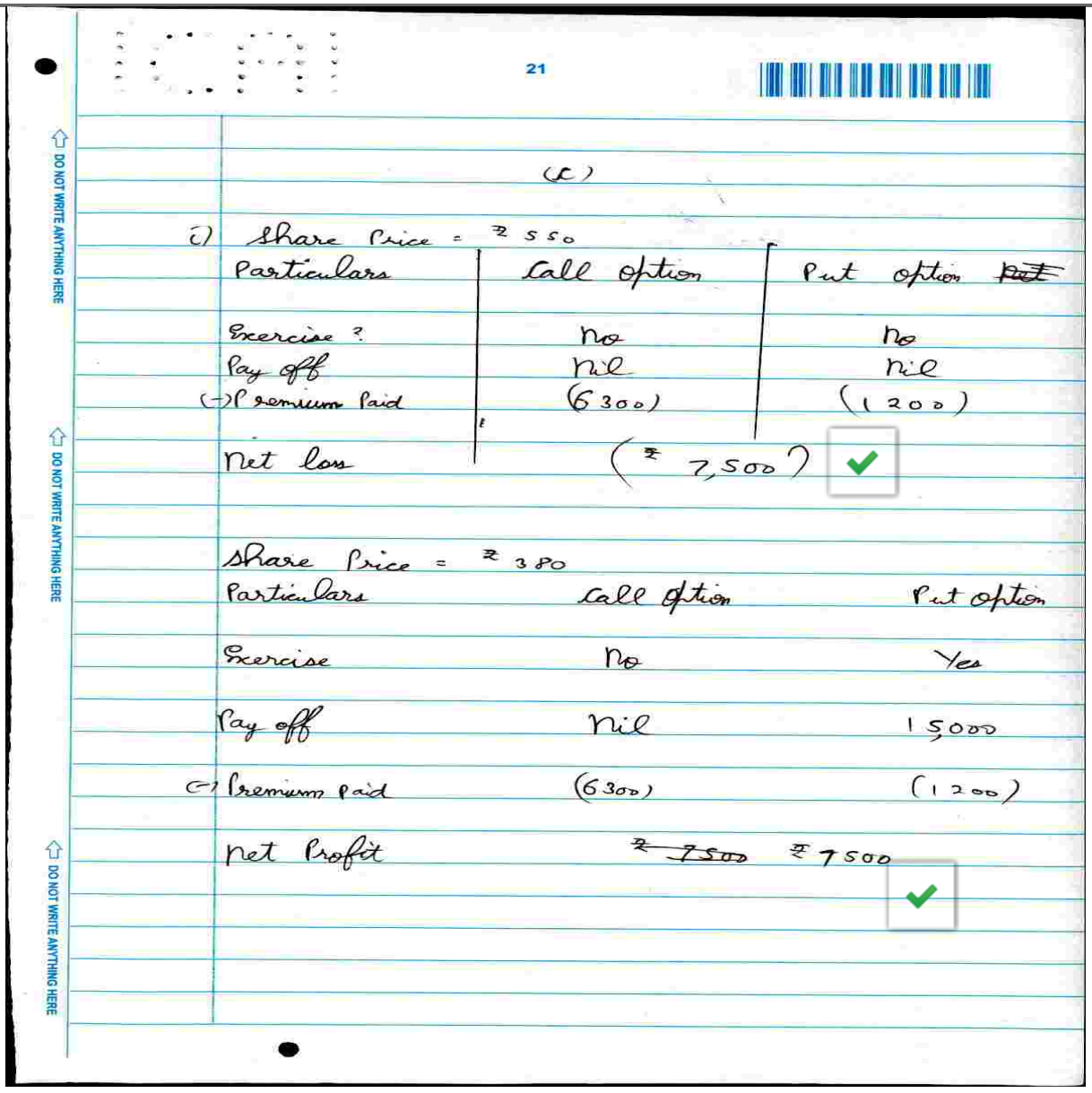
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(c)

i) Share Price = ₹ 550

Particulars	Call option	Put option ~~Net~~
Exercise ?	No	No
Pay off	Nil	Nil
(-) Premium Paid	(6300)	(1200)
Net loss	(₹ 7,500) ✔	

Share Price = ₹ 380

Particulars	Call option	Put option
Exercise	No	Yes
Pay off	Nil	15,000
(-) Premium paid	(6300)	(1200)
Net Profit	~~₹ 7500~~ ₹ 7500 ✔	

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Share Price = ₹ 680

Particulars	Call option	Put option
Exercise	Yes	No
Pay off	9000	Nil
↳ Premium Paid	(6300)	(1200)
Net Profit	₹ 1500 ✔	

ii) At upper breakeven point

Pay off at call = ~~Pay off~~ Premium Paid

Let breakeven price be ₹ x

$(x - 620) \times 150 = 6300 + 1200$

$x = 620 + 50$

$(x - 620) \times 150 = 6300 + 1200$

$x - 620 = 50$

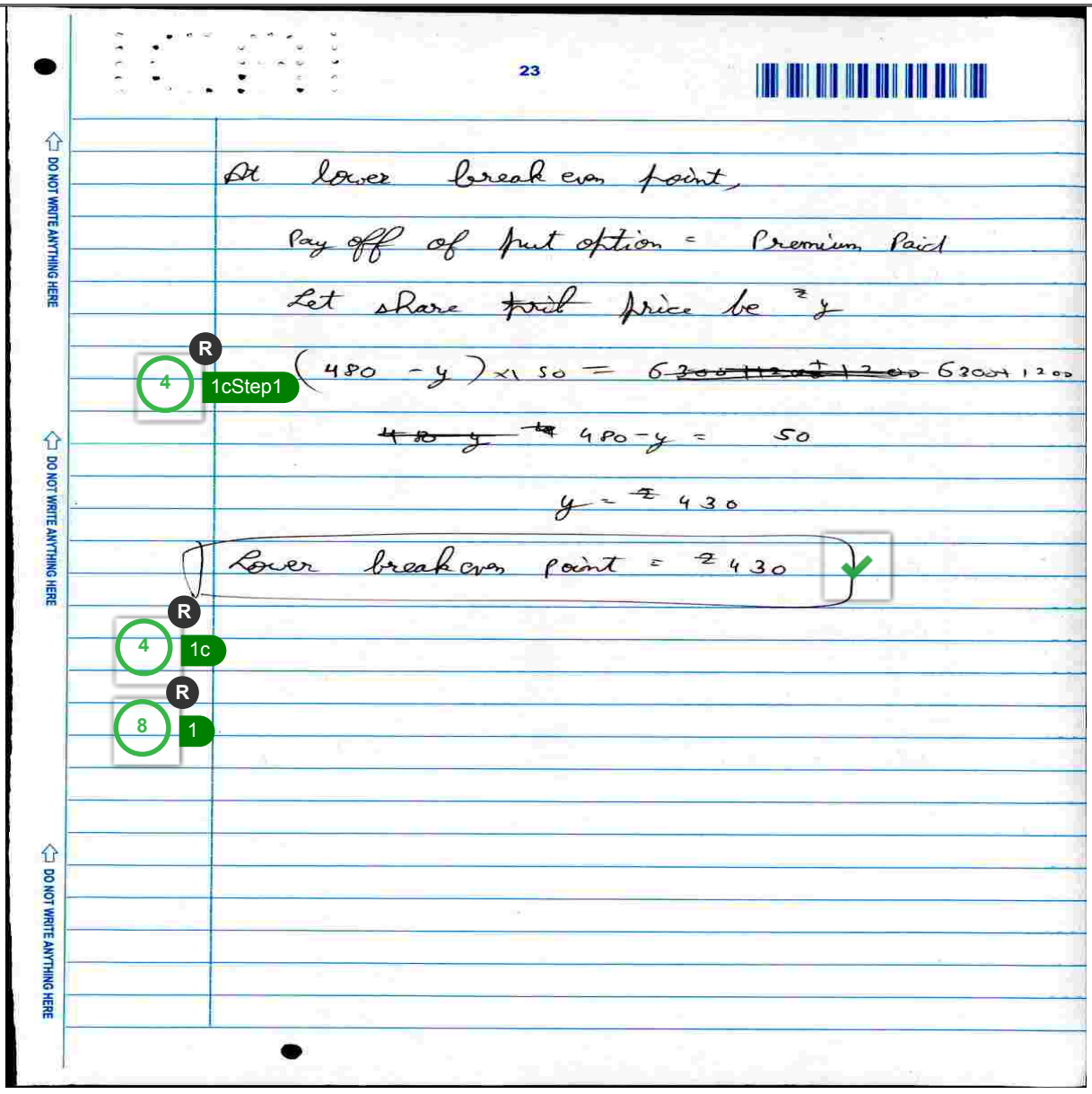
$x = ₹ 670$ ✔

Upper breakeven point = ₹ 670

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At lower break even point,

Pay off of put option = Premium Paid

Let share ~~price~~ price be ₹ y

R 4 1cStep1 (480 − y) × 150 = 6300 ~~+ 1200~~ 6300 + 1200

~~480 − y~~ 480 − y = 50

y = ₹ 430

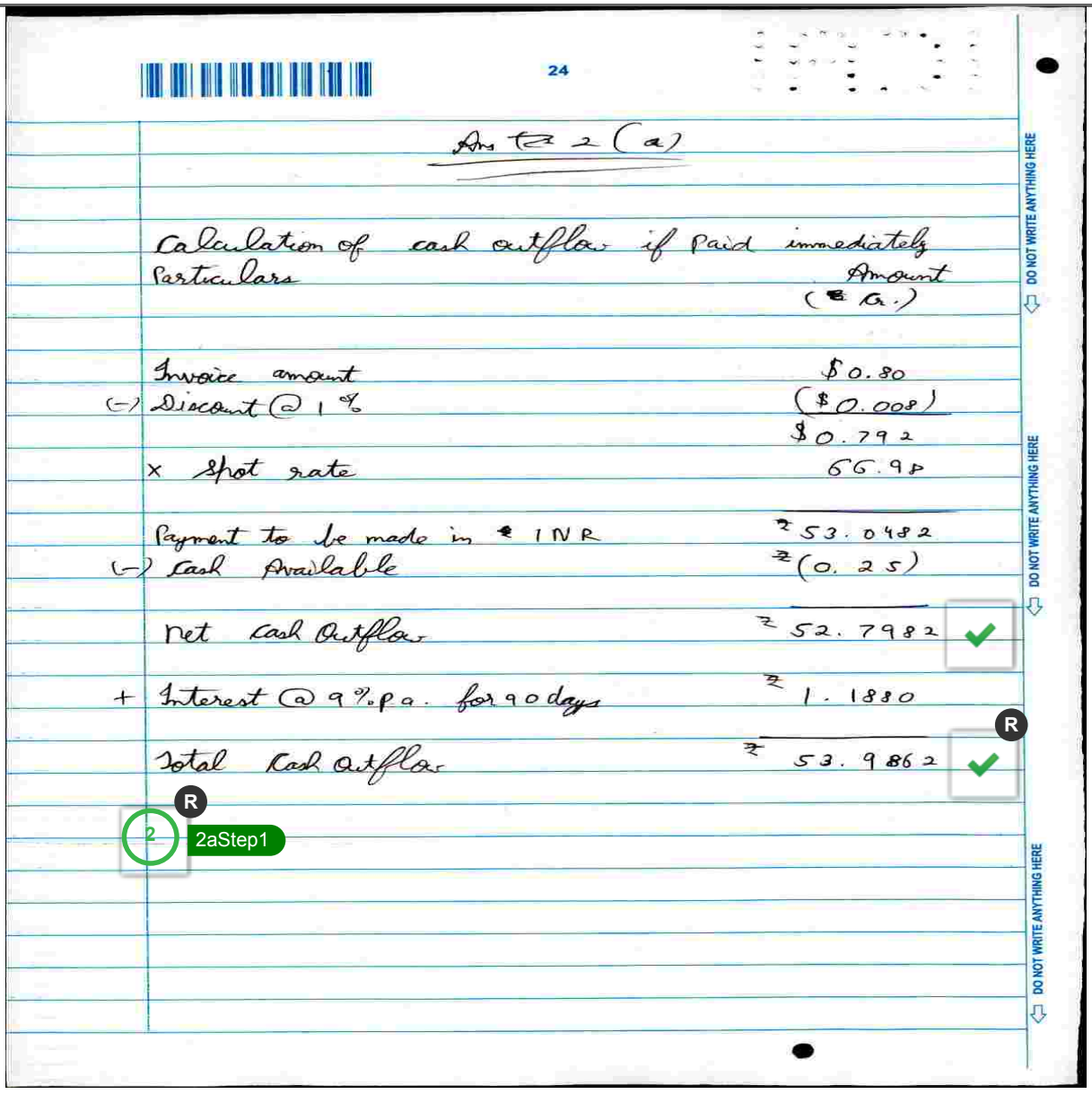
Lower break even point = ₹ 430 ✓

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24

Ans to Q 2 (a)

Calculation of cash outflow if paid immediately

Particulars	Amount (in $)
Invoice amount	$ 0.80
(-) Discount @ 1%	($ 0.008)
	$ 0.792
x Spot rate	66.90
Payment to be made in ₹ INR	₹ 53.0482
(-) Cash Available	₹ (0.25)
Net cash Outflow	₹ 52.7982
+ Interest @ 9% p.a. for 90 days	₹ 1.1880
Total Cash Outflow	₹ 53.9862

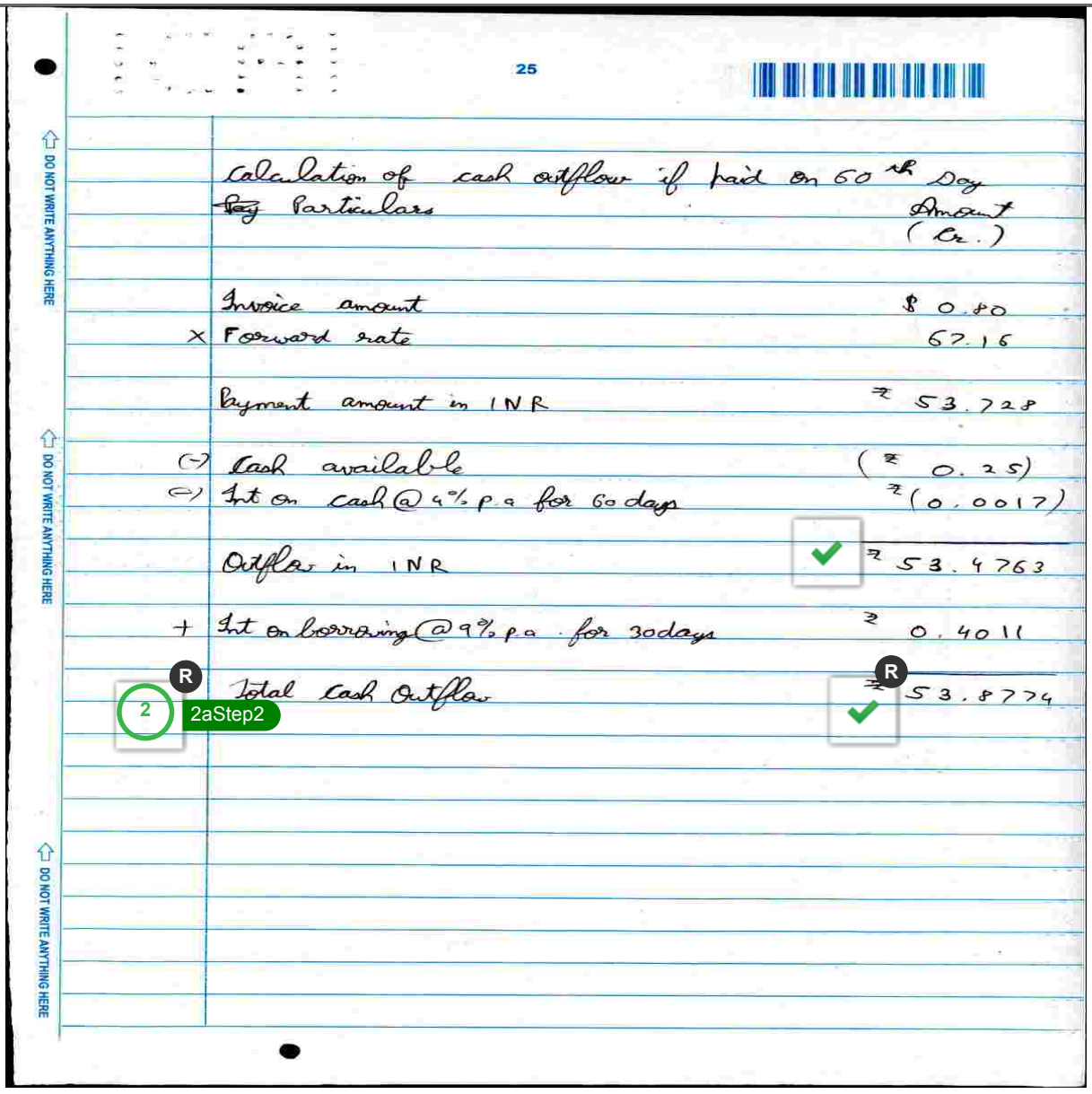
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2 2aStep1

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25

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Calculation of cash outflow if paid on 60th Day

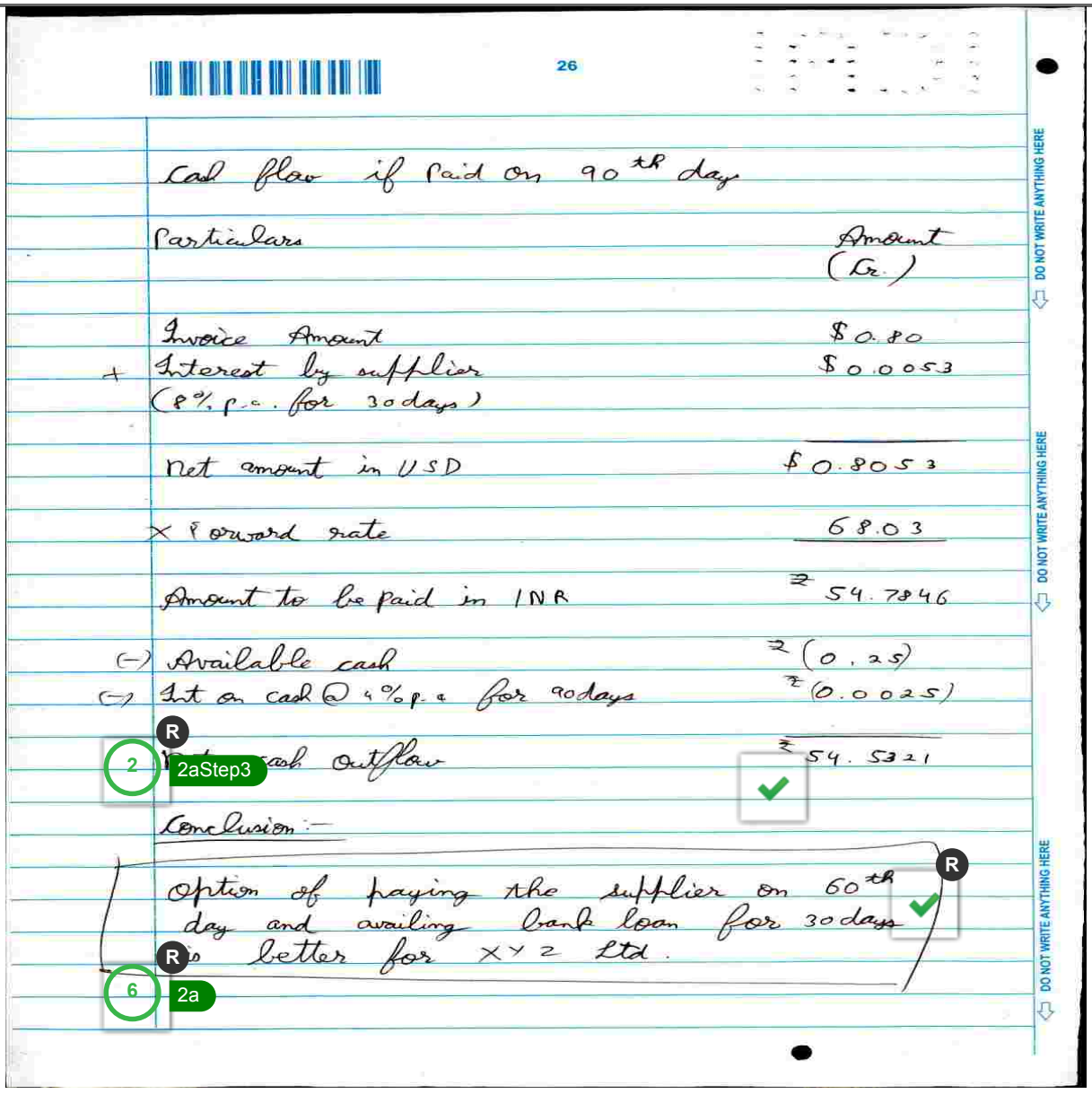
	Particulars	Amount (Cr.)
	Invoice amount	$ 0.80
×	Forward rate	67.16
	Payment amount in INR	₹ 53.728
(-)	Cash available	(₹ 0.25)
(-)	Int on cash @ 4% p.a for 60 days	₹ (0.0017)
	Outflow in INR	₹ 53.4763
+	Int on borrowing @ 9% p.a. for 30 days	₹ 0.4011
	Total Cash Outflow	₹ 53.8774

R 2 2aStep2

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26

Cash flow if paid on 90th day

Particulars	Amount (Rs.)
Invoice Amount	$0.80
+ Interest by supplier (8% p.a. for 30 days)	$0.00053
Net amount in USD	$0.80053
× Forward rate	68.03
Amount to be paid in INR	₹54.7846
(–) Available cash	₹(0.25)
(–) Int on cash @ 4% p.a for 90 days	₹(0.0025)
Net cash outflow	₹54.5321

Conclusion :-

Option of paying the supplier on 60th day and availing bank loan for 30 days is better for XYZ Ltd.

R 2 2aStep3

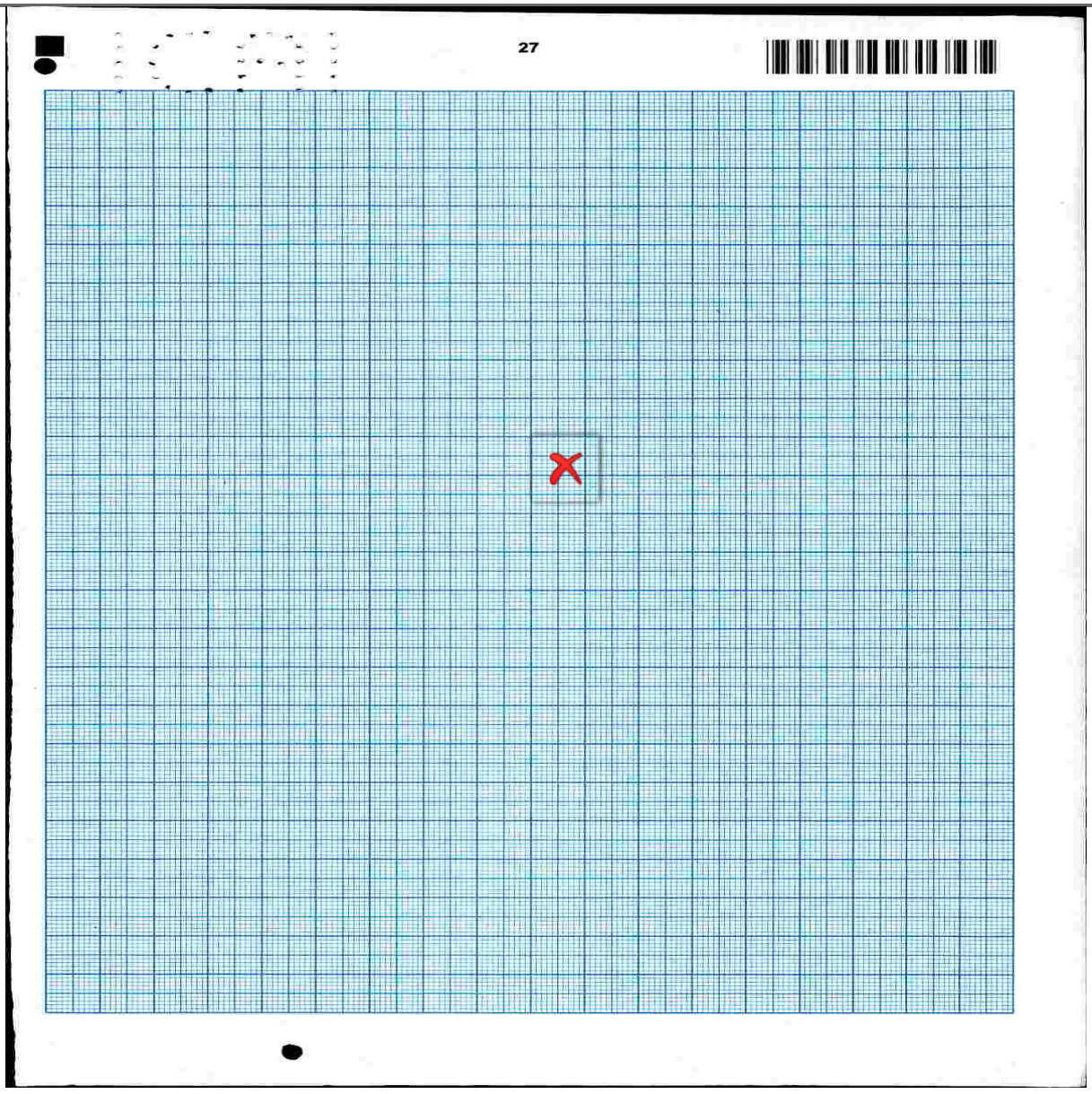
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Code:	**FN2AF180745**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**



28

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Ans 2 (b)

Income statement for FY 2025-26

Particulars	Amount (₹ in Cr.)
Revenue (70,500 x 1.40)	0,500
(-) Cost and Expenses (7300 x 1.40)	(10,220)
Income before taxes	280
(-) Taxes @ 30%	(84)
Net Income	196
(-) Dividend Paid	(49)
Retained earnings	147

Increase in current Assets = 2000 x 40%
= ₹ 800

Increase in current liabilities = 1500 x 40%
= ₹ 600

R
1 2bStep1

2180745-01

Addl. Book No. .....01.....

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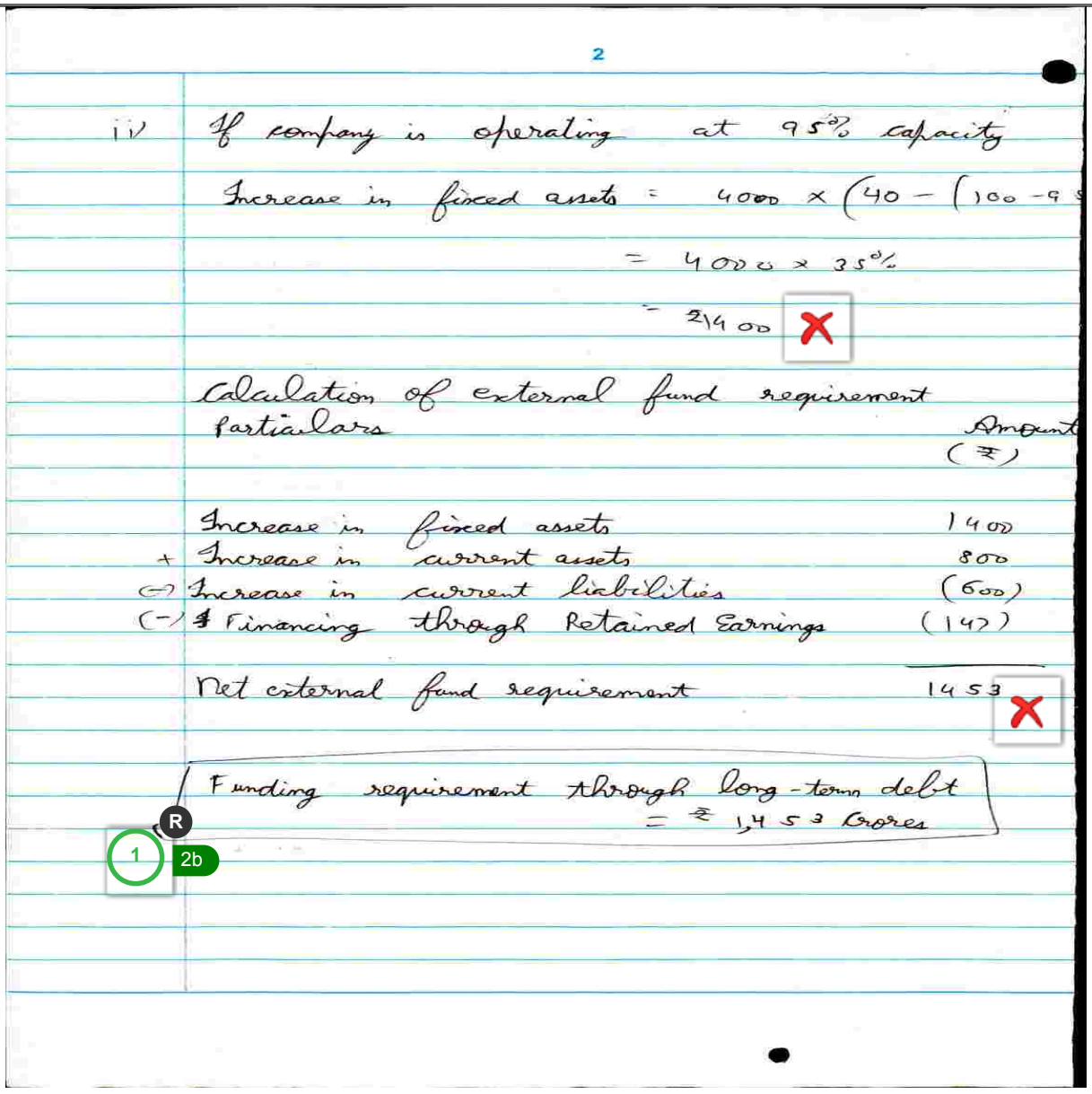
i) If company is operating at 65% capacity usage for fixed assets

∴ Requirement of increase in Fixed Assets
= 4000 × (40 − (100 − 65))
= ₹ 200 Cr.

Calculation of External fund requirement

Particulars	Amount (₹ in Cr.)
Increase in fixed assets	200
+ Increase in current assets	800
− Increase in current liabilities	(600)
− Retained earnings	(147)
Net financing required through debt	253

Net financing required = ₹ 253 Cr. ✗



2

iv If company is operating at 95% capacity

Increase in fixed assets = 4000 × (40 − (100 − 9

= 4000 × 35%

= ₹1400 ✗

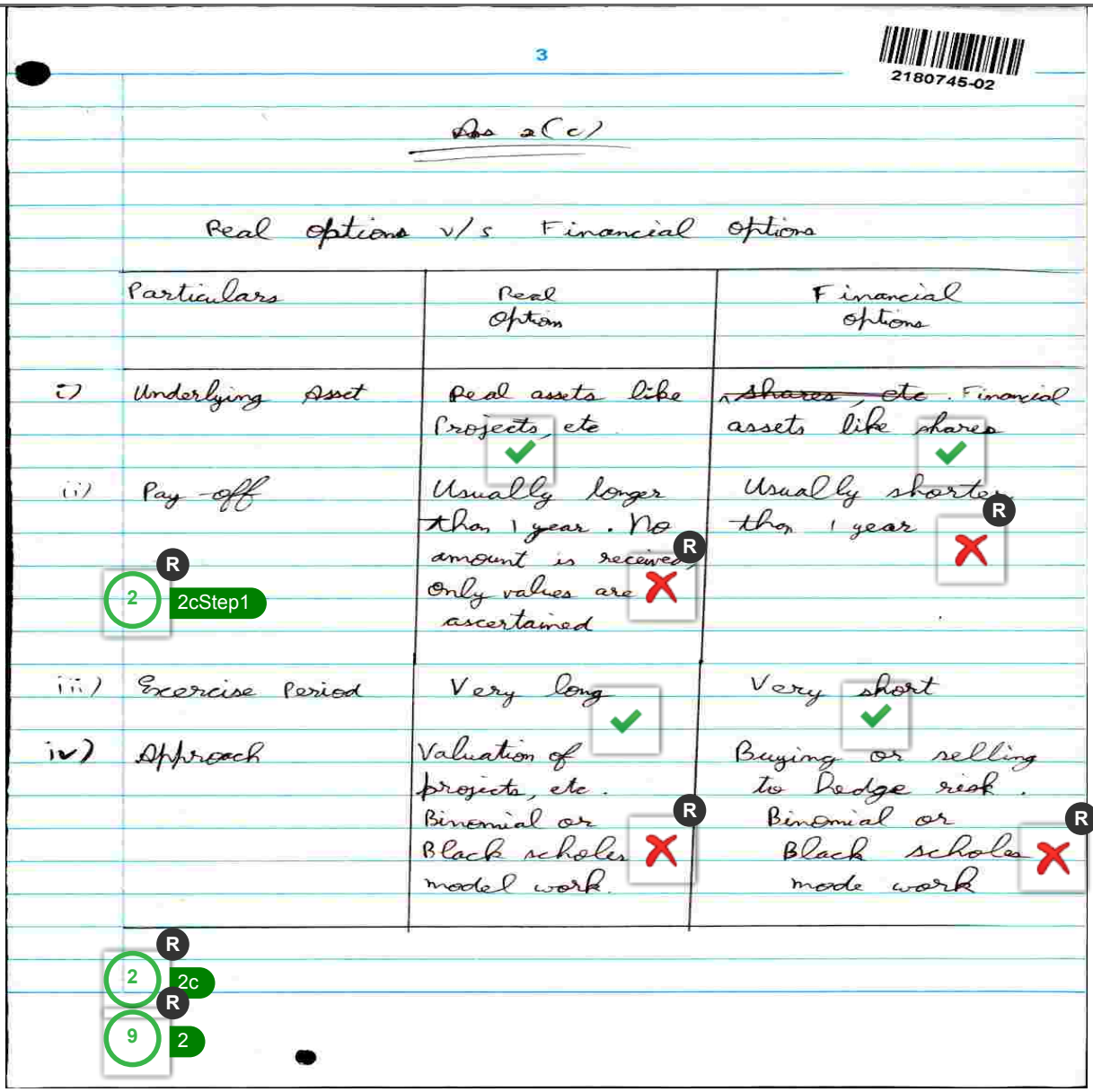
Calculation of external fund requirement

Particulars	Amount (₹)
Increase in fixed assets	1400
+ Increase in current assets	800
(−) Increase in current liabilities	(600)
(−) Financing through Retained Earnings	(147)
Net external fund requirement	1453 ✗

Funding requirement through long-term debt = ₹ 1,453 Crores

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1 2b



3

2180745-02

Ans 2(c)

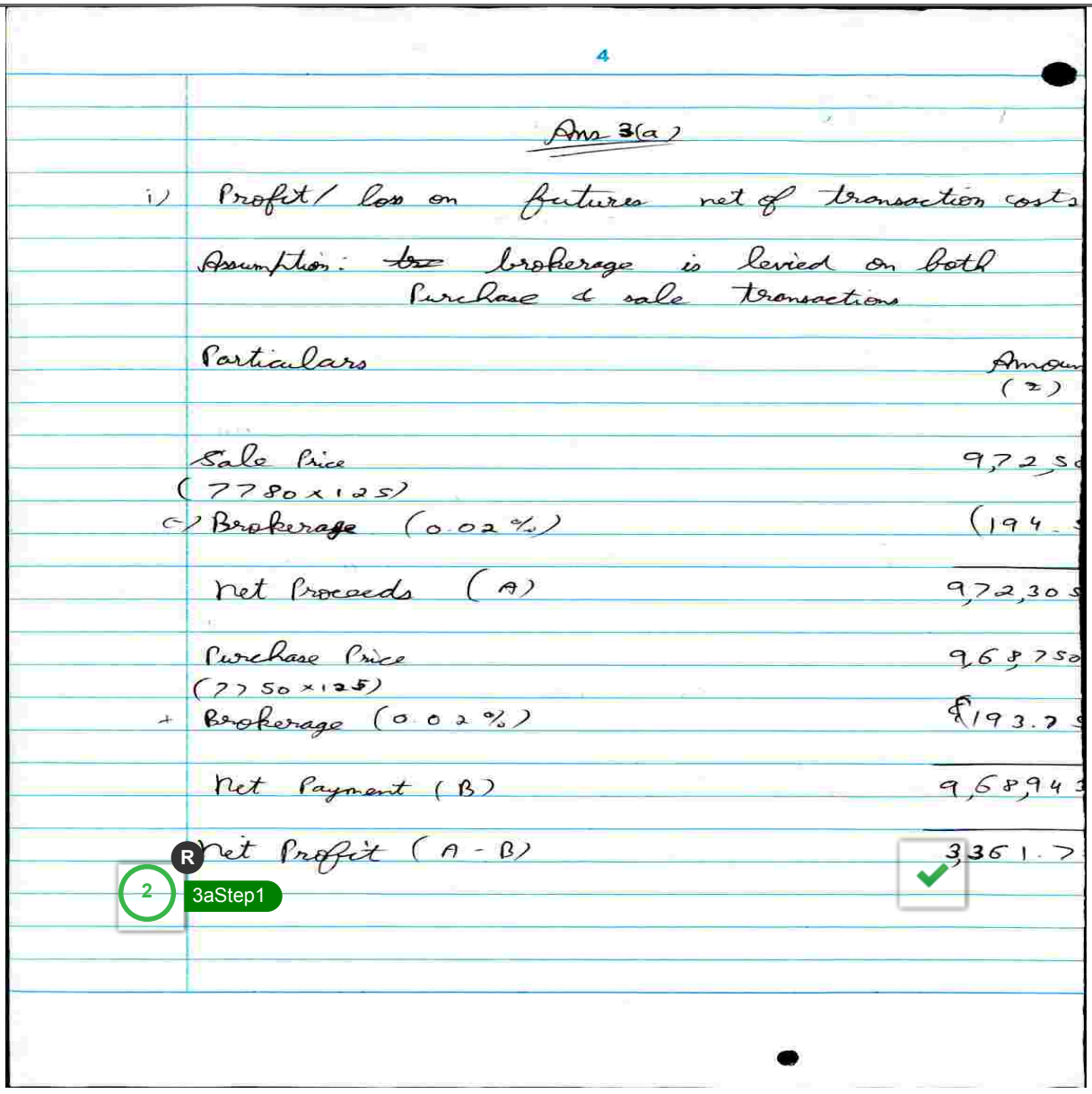
Real options v/s Financial options

Particulars	Real Option	Financial Options
i) Underlying Asset	Real assets like Projects, etc	~~Shares, etc~~. Financial assets like shares
ii) Pay-off	Usually longer than 1 year. No amount is received, only values are ascertained	Usually shorter than 1 year
iii) Exercise Period	Very long	Very short
iv) Approach	Valuation of projects, etc. Binomial or Black scholes model work.	Buying or selling to hedge risk. Binomial or Black scholes mode work

R 2 2cStep1

R 2 2c

R 9 2



4

Ans 3(a)

i) Profit / loss on futures net of transaction costs

Assumption: ~~to~~ brokerage is levied on both Purchase & sale transactions

Particulars	Amount (₹)
Sale Price (7780 x 125)	9,72,5
- Brokerage (0.02%)	(194.
Net Proceeds (A)	9,72,30
Purchase Price (7750 x 125)	9,68,750
+ Brokerage (0.02%)	₹193.7
Net Payment (B)	9,68,943
Net Profit (A - B)	3,361.7

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2 3aStep1

2180745-03

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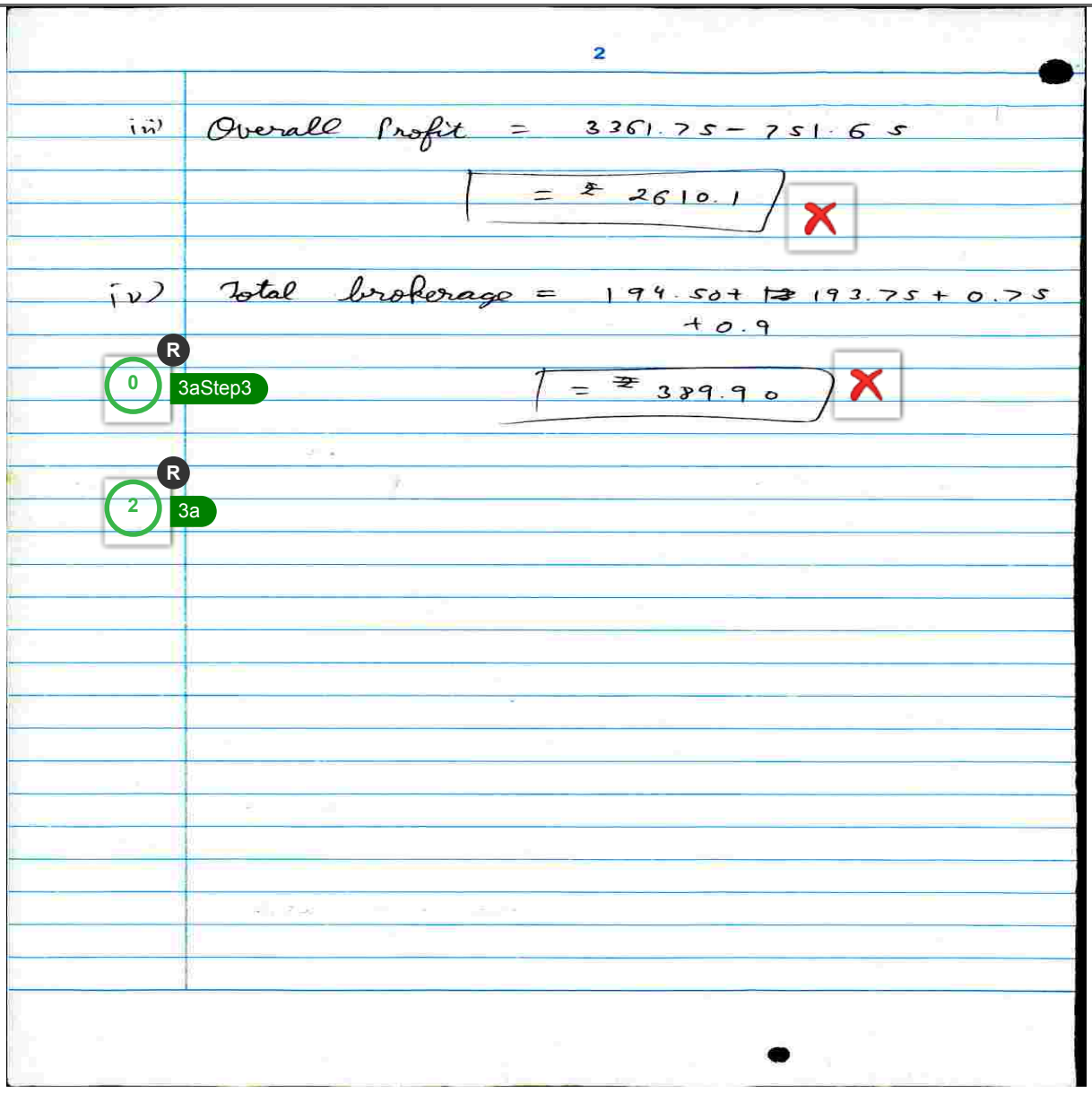
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iv) Profit / loss on options net of transaction costs

Particulars	Amount (₹)
Receipt on sale of options (30×125)	3,750
(-) Brokerage (0.02%)	(0.75)
Net Proceeds (A)	3,749.25
Payment on squaring off of position (36×125)	4500
+ Brokerage (0.02%)	0.90
Net Payment (B)	4,500.90
Net loss (A - B)	(751.65)

R 3aStep2



2

(iii) Overall Profit = 3361.75 − 751.65

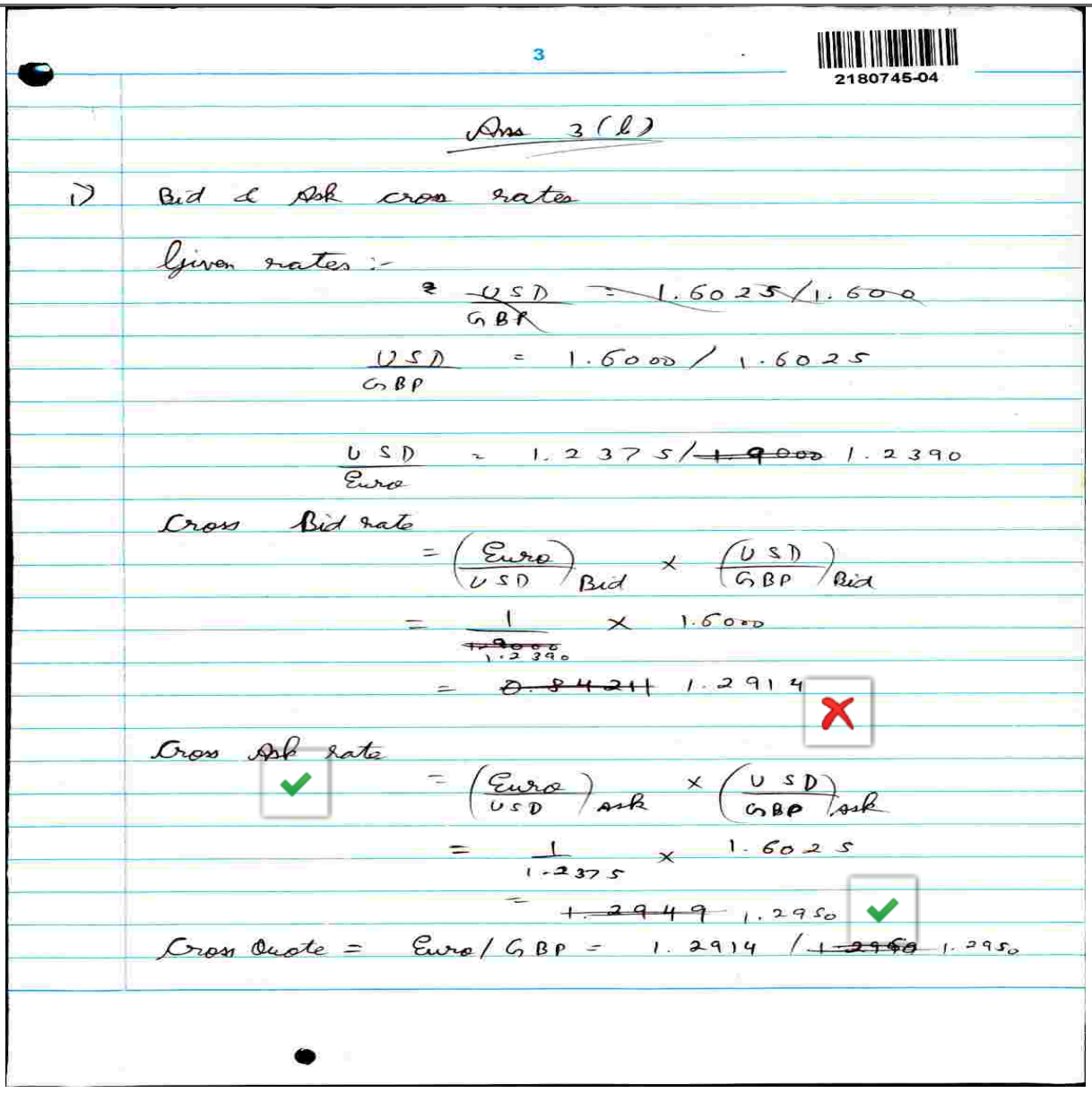
= ₹ 2610.1 ✗

(iv) Total brokerage = 194.50 ⇉ 193.75 + 0.75 + 0.9

= ₹ 389.90 ✗

R 0 3aStep3

R 2 3a



3

2180745-04

Ans 3(b)

i) Bid & Ask cross rates

Given rates :-

$\frac{USD}{GBP} = 1.6025 / 1.6000$

$\frac{USD}{GBP} = 1.6000 / 1.6025$

$\frac{USD}{Euro} = 1.2375 / 1.2390$

Cross Bid rate

$= \left(\frac{Euro}{USD}\right)_{Bid} \times \left(\frac{USD}{GBP}\right)_{Bid}$

$= \frac{1}{1.2390} \times 1.6000$

$= 1.2914$

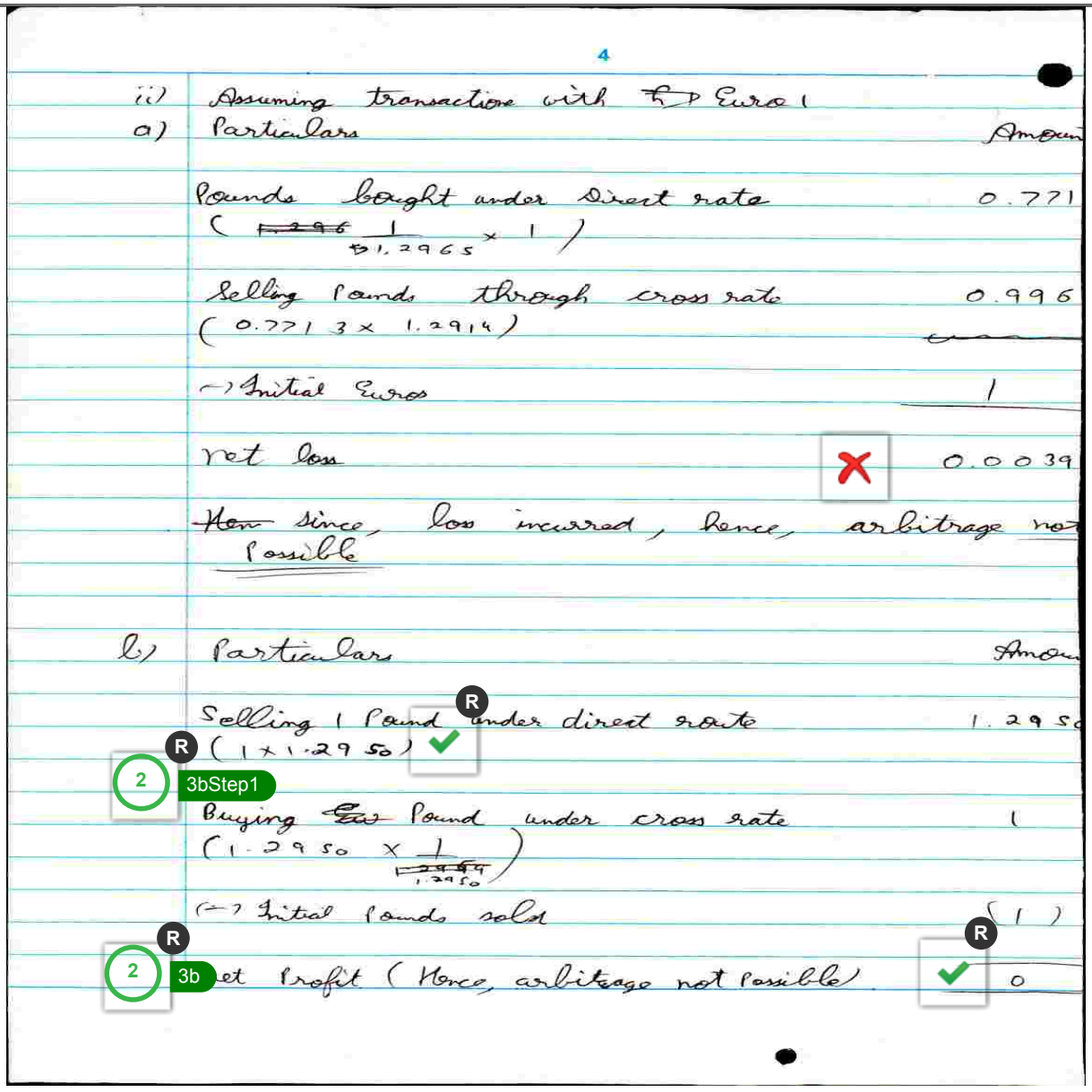
Cross Ask rate

$= \left(\frac{Euro}{USD}\right)_{Ask} \times \left(\frac{USD}{GBP}\right)_{Ask}$

$= \frac{1}{1.2375} \times 1.6025$

$= 1.2950$

Cross Quote = Euro / GBP = 1.2914 / 1.2950



4

ii) Assuming transaction with ₹ & Euro :

a) Particulars — Amount

Pounds bought under direct rate (1 / ₹1.2965 × 1) — 0.771

Selling Pounds through cross rate (0.771 3 × 1.2914) — 0.996

→ Initial Euros — 1

Net loss — 0.0039

Hence since, loss incurred, Hence, arbitrage not possible

b) Particulars — Amount

Selling 1 Pound under direct rate (1 × 1.2950) — 1.2950

Buying Pound under cross rate (1.2950 × 1/1.2950) — 1

→ Initial Pounds sold — (1)

Net Profit (Hence, arbitrage not possible) — 0

R 2 3bStep1 R 2 3b R

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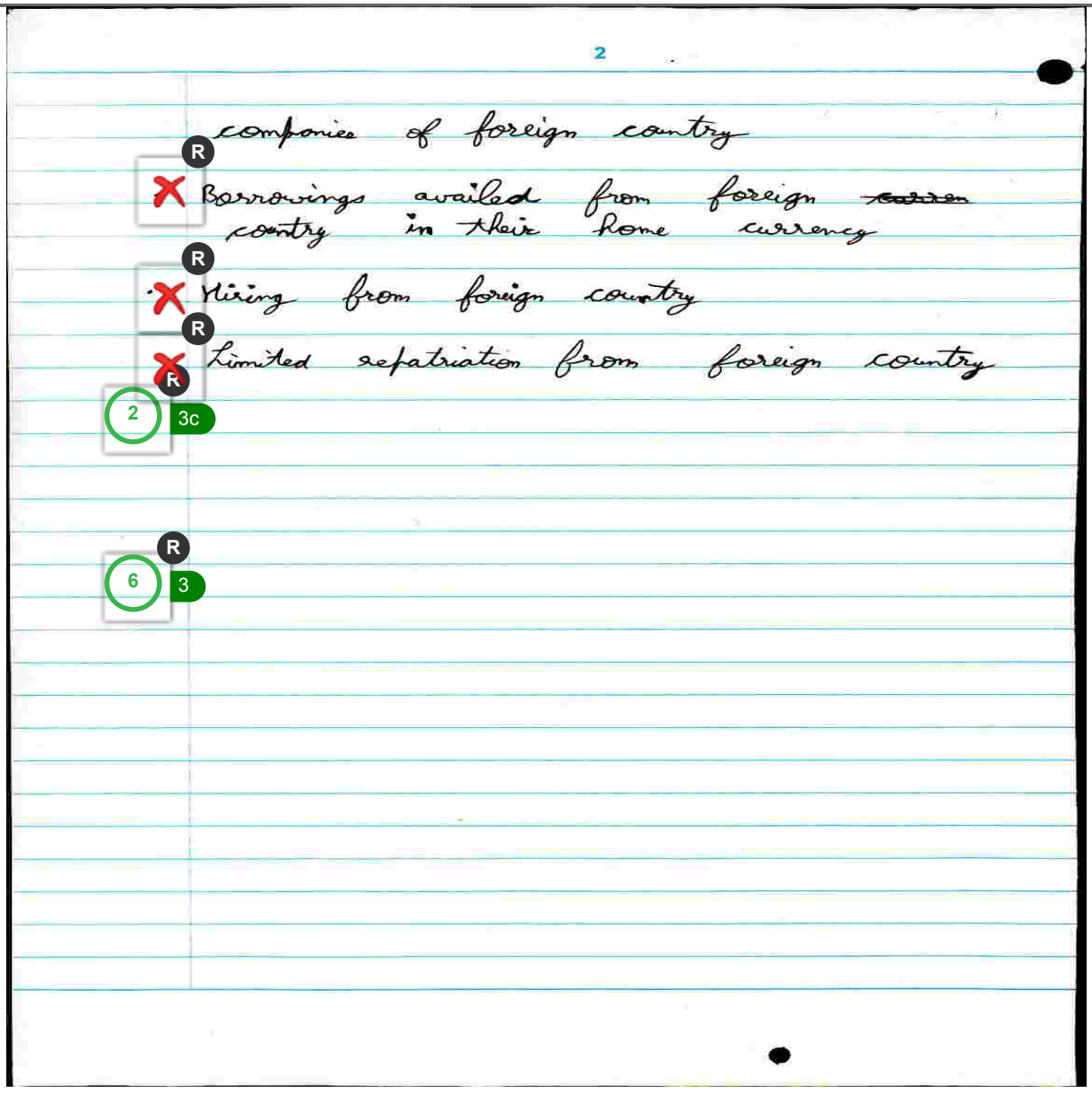
Ans 3(c)

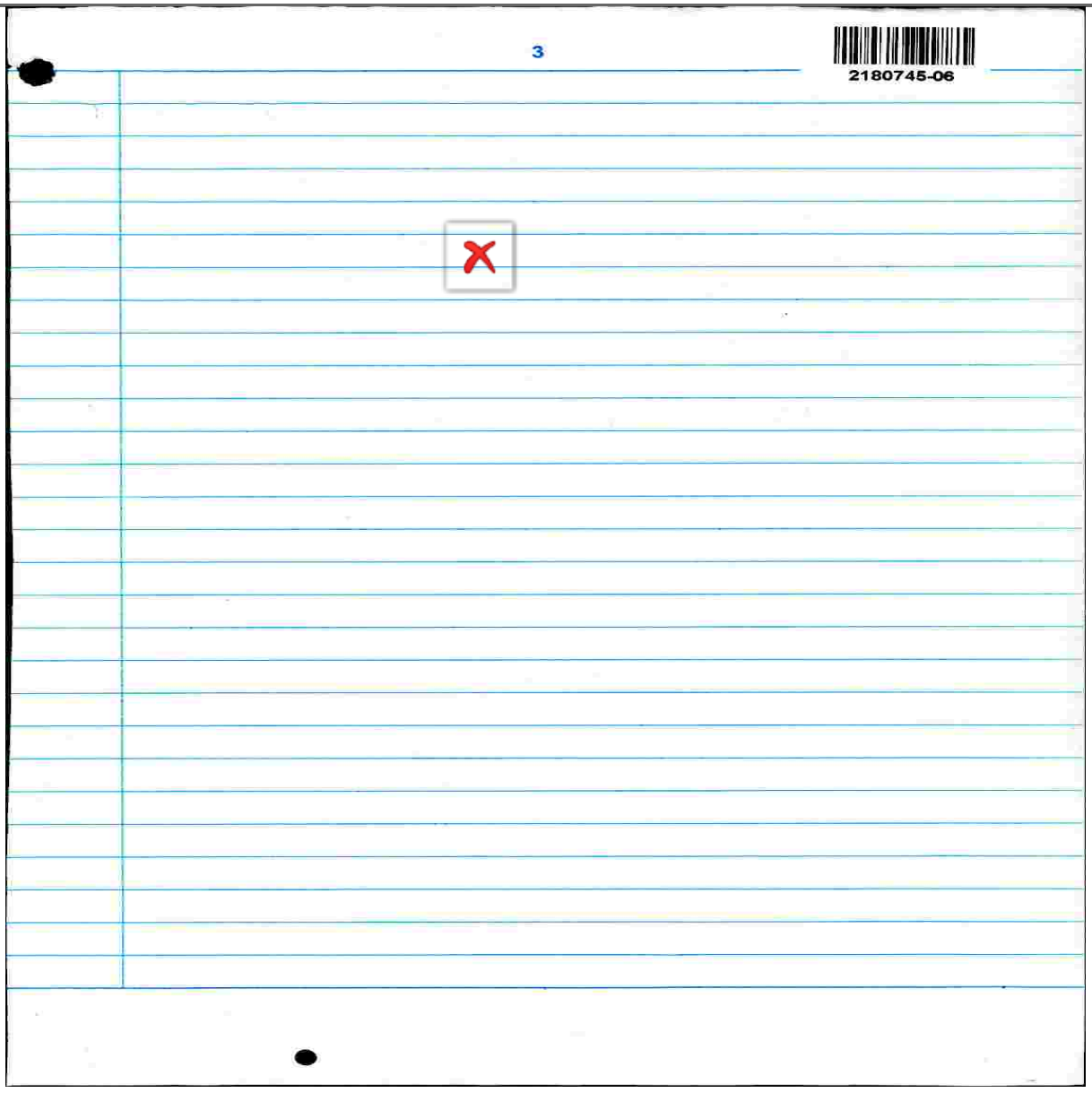
i) Four specific actions by a host government that can signal the presence of political risk are :-

- Restriction on ~~investment~~ foreign investments ✗ R
- Promotion of Home labour ✓ R
- ~~Restrict~~ Restrictions on ~~foreign~~ foreign currency transactions ✓ R
- 2 3cStep1 ~~Restriction~~ of exports and restriction on imports ✗ R

ii) Practical techniques to mitigate ~~pol~~ political risk exposure in foreign ~~e~~ exposure are :-

- ~~Entering~~ Entering into joint venture to with ✓


2
companies of foreign country
R
Borrowings availed from foreign country in their home currency
R
Hiring from foreign country
R
Limited repatriation from foreign country
R
2
3c
R
6
3


3
2180745-06

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Code:	**FN2AF180745**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**

